

Hindustan Aeronautics Ltd. (HAL)

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"Hindustan Aeronautics Limited Q4 FY-24 Earnings
Conference Call"

May 17, 2024

MANAGEMENT : M R. C.B. ANANTHAKRISHNAN – DIRECTOR (FINANCE)
& CFO, WITH ADDITIONAL CHARGE OF
CHAIRMAN AND MANAGING DIRECTOR ,
HINDUSTAN AERONAUTICS LIMITED

MR. JAYADEVA – DIRECTOR (OPERATIONS),
HINDUSTAN AERONAUTICS LIMITED
MODERATOR : M R. HARSHIT KAPADIA – ELARA SECURITIES PRIVATE
LIMITED

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Moderator: Ladies and gentlemen good day and welcome to Hindustan Aeronautics Limited Q4 FY24 earnings conference call hosted by Elara Securities Private Limited.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited. Thank you and over to you sir.

Harshit Kapadia: Thank you Manav. Good evening, everyone. On behalf of Elara Securities welcome you all for the Q4 FY24 and FY24 conference Call of Hindustan Aeronautics Limited.

I take this opportunity to welcome the management of Hindustan Aeronautics represented by, Shri. C.B. Ananthakrishnan – Director (Finance) & CFO, with additional charge of Chairman and Managing Director, Shri. Jayadeva – Director (Operations) along with their team. We will begin the call with a brief overview by management followed by Q&A session.

I will now hand over the call to Ananthakrishnan sir for his opening remarks. Over to you sir.

C.B. Ananthakrishnan: Thank you Harshit. Good evening and welcome to you all. Thank you all for joining us today for this Earnings Call. In fact, yesterday we declared our Financial Results for the 4th Quarter and the Financial Year 2023-24 which has been well received by the Investor Community. The same has also been uploaded in our company's website.

And today for this earnings call I have with me Mr. Jayadeva – Director Operations and other Senior Management Team for the interactions.

It has been quite some time since our last interaction which was sometime in May, 2023 almost exactly a year back and we are eager to engage with you today, providing insights into our financial results, offering updates on the various physical advancement of our project and addressing any clarifications you may seek.

The FY23-24 has been an exceptional year for HAL and was a journey of resilience, innovation and unwavering commitment to meet the expectations of the various stakeholders. Despite the challenges we faced in the geopolitical landscape and supply chain disruptions, HAL has once again demonstrated the capability to strive through the adversity. You are aware that our revenues have surged new heights in FY23-24 marking a very significant increase compared to the preceding year. Revenue from operations almost stood at 30,381 crores as compared to 26,928 crores in the previous year, almost registering an increase of 13%. We have given our guidance last year for achieving a double-digit growth from FY24-25 onwards upon the Hindustan Aeronautics Limited

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commencement of the delivery of LCA aircraft against the 83 LCA programs. However, we could achieve this target a year in advance in FY23-24 itself.

With our robust order book and a very strong pipeline we are confident of sustaining this growth momentum. Apart from focusing on revenue growth, we have also been focusing on cost optimization so as to offer these affordable platforms and services to our customers and also to improve the profitability margins. The manpower cost which used to be around 23% of the revenue during the year 2018-19, some 5 years back, has consistently been rationalized to almost 17% during the last financial year i.e. '23-24 and we expected to bring it down to further to 16% of revenue in the current financial year. Similarly, the overhead expenditure also has been rationalized so that we can eliminate certain avoidable expenditure.

The overhead expenditure to revenue as a percentage which was set

at around some 8%

during '18-19 has also been brought down to 4.66%, almost a 3% reduction over the last 3 to 4 years' time frame. Improvement is also being noticed in our inventory because we were also very conscious of our inventory holding when we had an inventory of almost 360 days, inventory in 2017-18 which we thought was quite high and today it stands somewhere around 159 days which we feel it's the most optimal level below which we would not intend to reduce further.

Another area where, there has been consistent improvement is on the debtors turnover. This also as you are aware from almost 227 days when we had bad times during 2018-19 when our receivables were quite high, it has now been brought down to 55 days which is again the optimal level. I think that will be maintained in the next few years as well. These improvements all have consistently resulted in cost optimization and improvement in the overall profitability of the company.

Now let me also highlight certain initiatives which we have been taking for the future growth and expansions. We are focusing on two major strategy areas during the year 2023-24 and we wanted to continue with our efforts in similar lines in the years to come. One is on the capacity building as we have always been telling to increase the capacity to meet the commitments of our customers. And the second one is the capability building to see that the company is ready for the future requirements and future projects which are coming up. The focus today is on proactive procurement, strengthening the CAPEX and increasing the R&D investments. HAL has been continuously been taking several proactive initiatives in the last financial year towards capacity building for the quick execution and reduce the developmental timelines post the contract signature. Similarly pending finalization of contracts, HAL also has launched the procurement and manufacturing of our platforms. Various aircrafts like Dornier, Light Utility Helicopters, Advanced Light Helicopter then the AL-31 FP engines, required for Sukhoi's, RD-33 engines. All this has helped us to deliver the two Dorniers to Guyana which is there for exports within 10 days of the contract's execution. In fact, the contract got signed in the March '24 and we could deliver 2 aircraft to Guyana and similarly to Army when the contract got signed 25 ALH, we could deliver 6 ALH in FY23-24 itself before the 31st, March. Similarly in the case of RD-33 Hindustan Aeronautics Limited

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engines as well where 15 RD-33 engines have been delivered to Indian Air Force within the month of contract signature.

We are also investing in various greenfield projects and capacity augmentation of various programs. As you are aware the new helicopter factory had come over into Tumakuru, third line of LCA which is very critical for augmenting our capacity in respect of delivery of the LCA Tejas aircrafts is getting established in Nashik and we expect it to become operational sometime in the month of October 20-24. So that these infrastructure and facilities are readily available for launching the various manufacturing activities immediately on receipt of the customer orders. And meeting our customer requirements is of utmost priority to us and we understand, today there is a need for the services to expedite the delivery so that they can acquire the assets at a faster rate. To support this requirement as a proactive approach, HAL also has been investing towards capacities as we have already told to increase the deliveries of indigenous platforms like LCA, HTT-40 and the Helicopters. These enhanced capacities would not only enable HAL to speed up execution of the existing orders but would also help us to free up our capacities for additional orders from our customers and aggressively pursue the export markets.

We have also got a very robust CAPEX plan because

we keep expanding and then we are getting

newer projects. So, the CAPEX plan for the next 5 years is estimated to be somewhere between 14,000 to 15,000 crores which translates into an average CAPEX of almost 3,000 crores on

annual basis. This CAPEX would also be utilized for augmenting the manufacturing facilities and establishment of ROH facilities for the various platforms. In addition, as you are aware since we are also embarking on new projects like LCA Mark 2 and then the TOT GE F414 engine manufacturing, then the IMRH engine manufacturing and the various infrastructure which is required for design and development of these newer projects of IMRH, AMCA and various other D&D projects we keep investing in our capacities and wanting to invest in capital expenditure for all of these projects.

We also wanted to create certain strategic assets which would enhance our capabilities in the field of forging presses. So, we plan to invest a 20,000 tons isothermal press and a 50,000 tons hydraulic press for manufacturing forging for engines and aerospace structures and carbon fiber facility with an investment of almost 600 crores for our various platforms. All these are intended towards indigenization activities being picked up because we have realized now in the recent geopolitical situation, there is a larger need to become self-reliant and to keep indigenizing more so that in the years to come in the next 5-to-10-year timeframe, we will have all the strategic assets where we have dependability on the foreign sources will come down drastically. And as you are aware HAL has been developing more and more indigenous platforms in the last 10 years. Today we have got a range of indigenous designed and developed platforms and less of license production and we wanted to really maintain this trend. And with that view we are investing heavily on R&D as well. So, we have sanctioned almost 4,000 crores as part funding Hindustan Aeronautics Limited

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for our IMRH product. The board has sanctioned that and we have started initiating the various activities on the R&D front as far as this IMRH program is concerned.

Similarly, we have also launched the utility helicopter Marine which is the naval requirement with internal funding of around 2,000 crores for the Indian Navy from our own internal resources. As I have told you in the current geopolitical situation and the need to be self-reliant our indigenously designed and developed platforms R&D efforts are of critical importance. We have indigenously designed and developed state of the art platforms like HTT-40, LUH, LCH, LCA Mark 1A, making India among the global players with tremendous opportunities for export. Our R&D expenditure is on an average around 7% to 8% which is among the best in the industry. As you are aware we are also earmarking 15% of our PAT towards creating an R&D corpus every year.

Apart from certifications from the Indian flight worthiness authorities since we are trying to embark on to the export, HAL is also focusing towards certification from the global agencies to enhance the outreach of our products. These efforts are helping us to progress as an end-to-end solution provider in aerospace domain.

Now most importantly I would like to update on the order book position. The order book of the company as on date is around 94,000 crores which is almost 12,000 crores more than the order book, which was there as on last year, that is on 1st April '23 of 82,000 crores, today it is 94,000 crores. I was talking on order book position when the call got disconnected. I mean this is something very important for us all of us. So, the outstanding order book as on date is almost 94,000 crores which is even after liquidation of almost 30,000 crores, it stands at 94,000 crores. So, the increase is on account of the conclusion of various contracts, a

almost close to 19,000

crores in the last financial years including RD-33 engines and then the ALH for Army, then ALH for Coast Guard. Then the various types of engines and then the Navy Dornier, 25 numbers of midlife upgrade and receipt of also the ROH, repair and overhaul orders and spares for the supply of almost 21,000 crores. We have also received an export order of almost 500 crores which I have been telling, 2 Dornier aircrafts to Guyana which included that almost 200 crores of Dornier aircrafts.

In addition, significant progress we have also made on the AL-31 FP program, 12 Light Utility Helicopters and 12 additional Sukhois towards conclusion of contracts. The proposals are at very final approval stages and we expect it to get the same finalized very soon. These orders will happen in a timeline of less than 6 months to 1 year and we expect almost 47,000 crores of orders to materialize in this 1-year timeframe. With these orders and the other ROH order book as on the 31st March '25, we expect the outstanding order book position to be somewhere around 1,20,000 crores even after liquidation of the certain portion of order as part of the revenues for the year '24-25. In addition, the order pipeline also looks very promising with anticipated contracts for LCA Mark 1A, the additional 97 numbers for which AoN has already been Hindustan Aeronautics Limited

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approved and then the Light Combat Helicopters, Prachand for 156 numbers. Then similarly for

the Advanced Light Helicopter, Dhruv for 43 numbers from IAF and Indian Army. Then similar Dornier aircrafts are also there in the offing and Indian Navy is also looking to buy some 60 numbers of Utility Helicopter Marine. The upgrade of Dornier aircrafts for which all of which all these programs the acceptance of necessity has already been approved. So, these are all to be converted into contracts and the initial process has already been initiated towards that. The aggregate value of all these orders is expected to be somewhere around 1,60,000 to 1,70,000 crores and our expectation it will all materialize in the next 18 months to 3 years' time frame. These orders will keep our manufacturing lines occupied till 2032 and help HAL to propel itself into the next growth trajectory.

The outlook for the current year and the years ahead appears very promising. Each year from the current Financial Year '24-25, we will be adding new platforms, thereby expanding our product profile. During the FY24-25, we will be scaling up the deliveries of LCA Mark 1A in line with the contractual commitments and commencing deliveries of Light Utility Helicopters as well.

The next financial year '25-26, we will commence delivery of our HTT-40 basic trainer and Civil ALH which we have initiated the process and we expect the certifications to get over in the current financial year and the deliveries for the Civil ALH, we have got some interest being shown by some of the Indian customers which we will be able to deliver in the next financial year in addition to the delivery of these LCH Helicopters for which the new orders are expected. The year 2026-27 that is 2 years down the line we will see the addition of the Marine helicopters to the Navy, to our manufacturing line for the Indian Navy in addition to the commencement of delivery of prototypes of these LCA Mark 2 and also commenced manufacturing of prototypes of the Indian Medium Role Helicopter which is the 12 Ton category which is under the design and development. Therefore, the number of aircrafts which are going to get manufactured each year will see consistent improvement during the next 3 to 4 year timeframe. During the same period, we are also will be executing the various engine programs including AL-31 FP, RD-33 engines then the LM-2500 engine, Shakti engine variants of ALH, LC

H and LUH. Besides the new engine program of GE-414 with the GE engines and Safran engine design and development, along with Safran for the IMRH program engine development also will materialize during this timeframe.

Looking ahead I envision, a very future filled with bright promises where the brand HAL will continue to build on a solid foundation of trust, teamwork and unwavering commitment to our stakeholders. We will continue to create value for our shareholders and drive our nation towards the vision of Atmanirbhar Bharat in Defence aerospace manufacturing. Thank you all. I think I had given a very concise brief. May be now that we can start discussions and initiate the queries. Thank you.

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Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Jonas Bhutta from Birla Mutual Funds.

Jonas Bhutta: Firstly, from a bookkeeping side, if you can help us understand what transpired in the 4th Quarter in terms of gross margins, basically material margins, given that they've come upwards of 60%, 63% to be more precise. What drove these margins because typically were more in the 58 kind of band, 57-58 kind of band, what transpired here if you can help us with that?

C.B. Ananthakrishnan: As far as the gross margins is concerned, as we have disclosed in our results as well, the Change Order 3 with respect to the pricing of IOC contract that is LCA initial operational clearance, we were to supply 20 numbers to the Indian Air Force which we have completed the supplies as well. So, there have been some contractual changes and scope changes have been made and the contract provided for certain elements of cost to be claimed at a later date as and when it materializes. So, we had gone that price fixation redone and because of which the IOC contract Change Order 3 which was pending for quite some time, it has been finalized in the last quarter of the last financial year '23-24. And that has resulted in almost 1,500 crores of additional revenue which is reflected in our last quarter results. And this has substantially increased the margin. And that is one major reason why the margins have gone up in the last quarter and which has also been reflected in the total full year as well.

Jonas Bhutta: Because if I remove as in if I adjust that from our top line, then also we are getting like a 63% gross margin. So, this 1,900 crores of change inventory that is, is that the pending deliveries of the two LCA Mark 1A prototypes or something that we....?

C.B. Ananthakrishnan: No, that has nothing to do with the change in deliveries, it's nothing to do. It is an accounting adjustment as far as the inventory which is being used, inventory which has been built in the last year. That is a WIP which is being utilized which is drawn now and which is getting included in the current year revenue. That has nothing to do with the pending deliveries. All the deliveries which have been delivered in the current financial year have already been recognized in the

revenue and pending deliveries have not been recognized. Probably apart from this Change Order 3, the other area is that last year the depreciation and amortization, there is almost a reduction of 400 crores between last year and the current financial year.

This reduction is an account of the HTT-40 which was there in the last year that amortization which is not there in the current year. So that is another reason. And of course, there is also an impairment loss which has happened in Sukhoi in the last financial year which is not there in the current financial year. These two expenditures add up to almost 900 crores which has also helped us to improve the margin in the current financial year as compared to the previous year.

Jonas Bhutta: The second data that I wanted, could you help us with the plat

form wise deliveries made in FY24

like the typical rotary aircrafts and fixed wing and the engines?

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C.B. Ananthakrishnan: Broadly I can tell, these aircraft deliveries it is all on LCA and ALH and Dornier. We have already indicated that LCA we have delivered close to some 5 aircrafts of LCA and 6 numbers of ALH. Apart from that engine, RD-33 engines some 15 numbers we have delivered. Now then the two export of Dorniers. This is also added to the revenue. These are the platform deliveries which has happened. But the major portion is on the repair and overhaul, which is almost 20,000 crores which forms a bulk of almost 68% of our total revenue has emanated from repair and overhaul.

Jonas Bhutta: Lastly, while you have said when you expect the NUH to come through but just a slightly more granular understanding on the status of the program. Because if you are going to start doing R&D today with a 2,000 crores investment, do you think that it will sort of show up in terms of commercial order by FY27? And the second project on which I wanted clarity was the Su-30 engine AL-31 FP. That order has been pending for quite some time. Any particular update on that? Those are my questions.

C.B. Ananthakrishnan: As far as the Su-30 engines are concerned, it has already been from our side the CNC has been over. We expect the order to materialize because it is in advanced stages of finalization. We expect the orders to get materialized in the next 1 to 2 months timeframe it should happen and there is nothing which is left from our side. So, it is the process which is happening. So, we will be able to get it done. And the UHM program is in the developmental stage. We are confident that in the next 2 years we will be able to convert it into a commercial contract and start executing the deliveries. Director, Operations can add to that.

Jayadeva E P: UHM program is for the Navy. It's a naval maritime version of the ALH. So, in addition to existing ALH features, we are also bringing in new features like blade folding and assisted track and landing onto the ships. So, these are the major things which UHM will support now. So, we are in advanced stage of proving all these new features on the helicopter and we are on track for this also to be flight tested and completed during the next 2 years. So, we are good to go by production runs from 26 onwards. In fact, we would also like to start this in advance like we did in other programs. But we can expect deliveries from '26-27 onwards.

Moderator: We have our next question from the line of Abhishek Poddar from HDFC Mutual fund.

Abhishek Poddar: First regarding the LCA Mark 1, if you could give some understanding that we currently have 83 number of orders and there is an expectation of 97 orders more, how will the production ramp up happen here in next 3-4 years including both the orders?

C.B. Ananthakrishnan: We have got 83 numbers. The delivery timeline, peak delivery rate at which we will have to deliver for this 83 contract is 16 aircrafts. So, at present in our LCA division and the aircraft division at Bangalore, we have got the capacity to produce 16 numbers. We wanted to augment the capacity to 24 numbers because we want to expedite the delivery of this 83 Mark 1A and

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anticipating further orders which is also I think you are aware that another 97 also is likely to come. So, for the 16 aircrafts is not sufficient. We want to augment the capacity to 24. That is the reason why we have started establishing the third line in Nashik. The activity has started last year sometime in September, and the jigs are all getting installed today and the third line is likely to become operational from October of the current financial year. So, this year probably we wanted to have at least one aircraft rolled

out from our Nashik division to start with. And from

next year onwards Nashik division also will be equipped to produce another 8 aircraft. So, depending on the requirement we will be able to expedite the delivery beyond 16. But 16 will be the minimum as per the contracted delivery schedule. But we would like to expand our capacity to see that this 83 Mark 1A contract is getting liquidated a year in advance of the

contracted delivery schedule, so that we can take up the subsequent 97 at a much faster rate. And we will be able to complete the entire 97+83 latest by 2032-33.

Abhishek Poddar: How much will be in '25, this year?

C.B. Ananthakrishnan: In the current year as per the contract, we are supposed to deliver 16 numbers and this is what we plan. Even though some challenges are there, we are trying to make our efforts to see that the 16 numbers are getting delivered.

Abhishek Poddar: 16+1 at Nashik, so 17 maybe this year?

C.B. Ananthakrishnan: No, we would keep it at the 16 numbers is what we have. Nashik, we are making efforts to see that it happens.

Abhishek Poddar: The second question if I look at the order pipeline and the current order book and we have LCA and there is LCH and there is a RD engine and then there is AL-31 and Sukhoi and HTT-40. So, all these 5-6 are very large programs. Would you expect the bunching of these manufacturing to start in '26 or '27? How do we see that ramp up happening? My question was that we have 6-7 large programs, so LCA, LCH, ALH, HTT-40, probably LUH and there are two engine programs RD-33 and AL-31 FP engines. So, this 7-8 programs, would we start seeing a bunching above the manufacturing happening in '26 or '27 Because all the programs will be in the manufacturing stage by that time.

C.B. Ananthakrishnan: But not bunching really because we have got the facilities created for each of these platforms separately. So, we will be in a position to independently manufacture all of those. So, it will all happen between this next 2-to-3-year timeframe. But since we have got independent capacities available at different locations, it will not really be bunching. They will be able to independently handle and start manufacturing and delivering the product. Like for instance, helicopter complex is capable of producing up to 30 helicopters in Bangalore only, then the Tumakuru facility is also ready for manufacture of another 30. As far as the LCA is concerned, the two facilities at Bangalore is capable of producing 16, third line is getting created at Nashik. And in Nashik we Hindustan Aeronautics Limited

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are also creating a line for HTT-40 apart from the LCA and the Sukhoi line. So HTT-40 also will get produced from Nashik and the engine programs already we have got the capacities at our Koraput division for AL-31 FP engine. So, we will be able to fully utilize that capacity. So, all in all of these programs we are having independent facilities where they can generate these products and the quantities which are required.

Abhishek Poddar: All these facilities by '27 should start producing all these platforms together?

C.B. Ananthakrishnan: Yes. Like for instance AL-31 FP engines already we are producing and supplying to the Indian Air Force. Then as far as ALH is concerned, again helicopters we have been continuously producing and we are supplying it to the Air Force to the various Defence customers. LCA, we have started supplying to the Indian Air Force. So HTT-40 will start commencement of deliveries from September '25 onward. From next year that is FY 25-26 HTT-40 should start getting delivered. So, we will all be delivering. It will all be in phases. It is as per the contracted delivery schedules. We keep delivering those things.

Abhishek Poddar: One last question. If I look at the EBITDA margins, in '22, it was 23% and last year it was 27% in '23. And this year if I take off

the one-off item for LCA, then it is about 28%-29%. How should we think about these EBITDA margins for next 2-3 years?

C.B. Ananthakrishnan: Broadly what we expect the EBITDA margins should on the most optimistic note it could be somewhere—around 32% to 33%. And at the minimum level it should be not less than 29% because broadly our operating profit ranges between 18% to 20%. The depreciation and amortization is approximately around the 5% to 7% range and the interest income may add up to another 6%. So, this would mean that it should be somewhere around 30%-31% should be our EBITDA margin.

Abhishek Poddar: So, after adding 6% in interest income it will be 32%-33%, excluding that will be 26%-27%?

C.B. Ananthakrishnan: Yes, without interest income it should be somewhere around 26%-27% and with interest income it should be around 33%.

Moderator: We have our next question from the line of Deepesh Agarwal from UTI AMC.

Deepesh Agarwal: My first question is with this 97 Mk-1 order possibly by end of FY25, would there be any change in the requirement of Tejas Mk-2 in the future? Would there be any cannibalization?

Jayadeva E P: This 97 is being procured in the Mark 1A configuration. So, this will not have any impact on Mark 2. Mark 2 is under development now. So IAF has got the range to accommodate more aircraft. That's what we feel. And we don't see this Mark 1A cutting into Mark 2 or vice versa. So, it will not happen that way because the Mark-2, it's a different weight category aircraft and Hindustan Aeronautics Limited

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the roles are slightly different. So IAF can accommodate both. We don't see each other cutting into other prospects.

Deepesh Agarwal: So, is it fair to understand, it would be in view of MMRCA not going through the ramping upon the Mark 1A?

C.B. Ananthakrishnan: As far as HAL is concerned, we are getting these orders and our sort of views ends with that. Whether MMRCA will be there or not it is for IAF to answer.

Deepesh Agarwal: On the Super Sukhoi program when do you expect the order inflow for the Super Sukhoi and how would be the execution timelines on this?

C.B. Ananthakrishnan: Sukhoi upgrade, now the case has been initiated and we will be also participating in the program. In fact, HAL will be the lead agency to integrate the Sukhoi upgrade program with the indigenized Indian industry. So, the program will now pick up speed and then we have already started the discussions with the various stakeholders. And probably in the next 6 months timeframe we should be able to have some contractual clarity on this thing. AON has already been approved for that. That is that acceptance of necessity has already been approved. So, it should get converted into the contract shortly, once we get more clarity and more discussions happen. And the contract negotiations will commence thereafter once we submit the quote and then we will be able to finalize it. But this is going on in the right way and we expect things to materialize within the next 1-year timeframe.

Deepesh Agarwal: On the ROH front, what kind of growth should we expect going ahead?

C.B. Ananthakrishnan: ROH, we expect the growth to be consistent in line with the past and it should be somewhere between 8% to 9% growth should be there in ROH activities.

Moderator: We have our next question from the line of Gagan Thareja from A SK Investment Managers.

Gagan Thareja: My first question is around the potential for sales growth available given that you have almost 90,000 crores of order book which you think next year starting with more like 1,20,000 crores of order book. Given the delivery schedules of various platforms, is it reasonable to assume that an early double-digit sort of revenue growth is consistently possible for the next 3-4 years?

C.B. Ananthakrishnan: Yes, that is what we are confident of. With the current order book positions and

d with orders in

the pipeline and with new orders likely to materialize in the 2 to 3 years' timeframe, we will be able to show a consistent double-digit growth. In fact, all the orders we will be in a position to execute up to 2032. With the current visibility of orders, we will have our workload full for 2032 and we can consistently maintain this double-digit growth without any problem.

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Gagan Thareja: Also, while in the last 2-3 years the share of ROH in your total revenues has kept on going up. I think last year it was more than 70% while now it stands at 68%. Now from here on the share of platform-based revenue will increase and does this change therefore in sales mix? First of all, how much will this sales mix change by and secondly consequently what sort of margin implications does that have?

C.B. Ananthakrishnan: It's like a cycle. Always in this industry certain contracts will get signed for the platform deliveries in a particular period and then subsequently once the delivery happens the ROH activity will pick up. Again, the manufacturing contracts will keep coming and it will be going on like that. Today with the sort of contracts what the deliveries of platforms which we have got, we will start executing those from the current financial year. For instance, this 83 Mark 1A will get major portion of it will start getting executed from the current financial year. And this along with the other helicopters and then the trainer aircraft the manufacturing proportion of sales will keep increasing and the proportion of ROH sales will keep coming down. But not in absolute terms. Absolute terms ROH also will keep growing at 8% to 9% growth and manufacturing will grow at a much faster rate basically because of the execution of the contracts which has all been signed in the past.

Gagan Thareja: Perhaps in 3 years' time, what could be revenue mix look like?

C.B. Ananthakrishnan: Mix will be probably in the ratio of 60 to 40. 60 will be the ROH activity, 40 should be the manufacturing activity.

Gagan Thareja: The media articles have stated that LCA Mark 2 prototypes are supposed to come on stream by FY25. Actually, according to ADA it supposed to have started coming in FY22 itself. But now the timeline seems to keep on getting postponed. You have indicated it is going to FY27 when you supply the prototypes. Can you clarify, is it going to be prototype supplied by FY27 or by FY25?

Jayadeva E.P.: At HAL we have started the manufacture of prototype now. So, the initial structural assembly has already commenced at HAL. So, we are planning to get the full aircraft ready by around later part of '25, so aircraft will be rolled out sometime or will be ready for flight sometime in '26, around March '26.

Gagan Thareja: What is the dry empty weight of LCA Mark 1A? Is it 6,500 kgs or less than 6,500 kgs?

Jayadeva E.P: It is around 7 tons approximately.

Gagan Thareja: 7 tons?
Jayadeva E.P: Approximately, exact figure I won't have.
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Gagan Thareja: That is higher than perhaps a Gripen which is a bigger aircraft. So, I was wondering with so much composites why is the weight you claimed is larger than that.

C.B. Ananthakrishnan: I am sorry to interrupt but this is certain technical specification which we can discuss not on this forum, we will discuss separately.

Moderator: We have our next question from the line of Amit Dixit from ICICI Securities.

Amit Dixit: I have two questions. The first one is, you indicated a short while back that the target for us to deliver 16 LCA Mark 1A in this financial year. Now given that we have not delivered such a quantity in the past. So, is there any critical equipment/system-subsystem on which this delivery is contingent or we have everything lined up for these 16 aircrafts?

C.B. Ananthakrishnan:

Yes, there are certain supply side challenges as far as this 16 numbers delivery is concerned but we are working on that. Some of the major LRUs we have to get that because of the geopolitical situation there have been some concerns, but we are working on that. We are confident that we will be able to get the LRUs well in time for the deliveries which we are planning for the current financial year in respect of LCA Mark 1A.

Amit Dixit: The second question is essentially on progressive indigenization. So, as we move from initial 83 numbers to 97 numbers possibly later on, what is the kind of indigenization that we are going to see? It is reported in media articles that from 42nd aircraft maybe we will be fitting the Uttam AESA radar. And so, if you could just highlight what would be the major milestones for indigenization and in the end what kind of indigenous percentage you would see?

Jayadeva E.P: Yeah. As you rightly said after the first 41st aircraft we are planning to integrate our indigenous Uttam radar onto the LCA Mark 1A program and also the Rakshak Kavach that is EW electronic warfare suite. So, with that considerably our indigenous content in LCA Mark 1A will go up. And in addition to that there are other so many LRUs also which compared to Mark 1 we are also indigenous, a number of them like the actuators like side controls actuators and other actuators. So definitely the indigenous content what you can see in Mark 1A will be higher than Mark 1.

Amit Dixit: Any idea what we will end up with, at the end of let us say 180th aircrafts? Just number would do.

C.B. Ananthakrishnan: I'll just quickly answer that. It should be in the range of around 65%, should be above 65%.

Moderator: We have our next question from the line of Aadesh Mehta from Motilal Oswal Financial Services.

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Aadesh Mehta: There was a news flow that HAL would be working with Airbus in commercial MRO opportunity. If you are in a position to give some more details in terms of timeline, scope, addressable market size, margins that would be great.

Jayadeva E.P: We are trying to enter into civil MRO business at our Nashik facility. We already started this activity at Nashik and we also entered into some sort of a working arrangement with Airbus for the Airbus 320 aircraft. So, it will take shape in a bigger way in years to come. We have started now and it's going to take off and we are going to augment this in the coming years.

Aadesh Mehta: So, anything definitely happening in FY25 or 26 on this arrangement?

Jayadeva E.P: Yes, it will happen. Already we entered into a contract with them. It will happen.

Moderator: We have our next question from the line of Lavina Quadros from Jefferies.

Lavina Quadros: Just two questions. One is on Defence. Firstly, how much was exports as a percentage of your sales in FY24? And any color you can share on the Defence exports the government is planning to take it from 20,000 crores to 60,000? I would believe that HAL would have a very big role to play in this. So, any comments you would like to give there?

C.B. Ananthakrishnan: Exports as of date the numbers are not so great. We are there in export of close to 311 crores, which is approximately very negligible percentage 1% or around 1%-1.5%. But this initiative of export has gone in, we have really taken it up only in the last 2 to 3 years. Before that we were contented with the Defence requirements were there. We are trying to focus on the Defence requirement. Now that we have taken it on a full-scale basis with various aggressively in the export market and with the range of indigenous product profile which we have got today because earlier were in licensed production, not much of indigenous products were available today. Today we have got a range of platforms where we

e will be able to offer to the various countries.

So, the leads which we are getting today is quite impressive. So, there have been lot of interest being shown by various countries, especially on the helicopter side ALH and on the LCH. So, we are in discussions with various countries. As you are aware we are in the discussions with Philippines, we are in discussions with Argentina, we are in discussions with Nigeria, we are in discussions with Egypt. So, there are quite a few countries which have expressed and we are confident that we will be able to get through some order in the current financial year. This has been something which we are also very eagerly waiting and we expect that we will get at least one breakthrough order with the current financial year. We expect that this sector to grow, we will be able to globally become competitive in the next 2-to-3- year timeframe and offer our products successfully to the various countries.

Moderator: We have our next question from the line of Umesh Raut from Nomura.

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Umesh Raut: My first question is pertaining to the deal that got signed between HAL and GE regarding F414 engine. I just wanted to understand, what kind of technology transfer that GE is kind of coming along with HAL and how can it help in terms of indigenously developing our fighter jet own version in future?

C.B. Ananthakrishnan: This MoU which has been signed and the contract which will get signed between HAL and GE is with respect to the transfer of technology to the extent of 80% of the GE 414 engine. So, under TOT we will be manufacturing the engines in India 80% and 20% will be sourced directly from GE. At this point of time, we will be able to share this much of information and onto the specific technologies which we are still working out with GE and we will probably be able to get it cleared and more clarity will emerge when we sign the contract. And moreover, it is also a classified information which we are not be able to publicly share.

Umesh Raut: Regarding engines, do we see any major export opportunity, whether it is related to fighter jet engine or helicopter engine as we have also got signed MoU with Safran as well?

C.B. Ananthakrishnan: At present, what we have signed the MoU with Safran for the IMRH project and with the GE for the GE 414 for LCA Mark 2, it is basically for our own consumption. But as and when the export opportunity arises, we will be in a position to make those exports as well. Our Safran especially the engines, it is jointly developed along with HAL. So, we will be able to do the export because IPR will remain within the country and as far as GE engines are concerned, we will have to get the case-to-case basis. We will have to get the permission from GE and then we will be able to export if there is a need. But at present we are working out for our domestic requirements only.

Moderator: We have our next question from the line of Harshit Patel from Equirus Securities.

Harshit Patel: My first question is on the Light Utility Helicopters. Could you share an update on the limited series units that were manufacturing against the Letter of Intent? Have we already started booking the revenues on this? Also, when do you see the bulk order materializing and how would the execution schedule look like?

C.B. Ananthakrishnan: The LUH facility has been created and we are the process of manufacturing. We have almost eight aircrafts have already been manufactured. We are expecting the first 12 numbers of limited series to be received from the Defence, Army and IAF. CNC and all the other activities are over. It is under process of getting the contract getting concluded for the initial 12 numbers for which we expect the deliveries also to happen in the current financial year. As far as the bigger orders are concerned, once and as and when these

executions happen for this limited series production

of 12 number and subsequently based on the expectation, they will come out with the changes or further scope change if anything is required or further as an improvement and then we will be

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able to get the bigger order size. But that will also happen. We expect it to happen in the next 2-year timeframe. It should be with the AON and the activity should get initiated.

Harshit Patel: Secondly on the Sukhoi-30 engines, you mentioned that we will very soon receive the final order. So, will the production start as soon as we will receive the order or there will be some gestation as to T+12, T+18 something like that?

C.B. Ananthakrishnan: No. In fact, since this AON has already been approved and RFP and other things have been initiated a year back, we have taken certain proactive action of placing the order with the Russians, not waiting for the contract to be signed. So, contract signing, once it happens we will be in a position to by then we will get the supply of these engines and we will be able to deliver it in the current financial year, that is FY24-25, we should be in a position to deliver. We are not waiting for the supply order to be placed with the Russians for the manufacture of this kit, for the contract with the customers to be signed. We have already placed the kit order and once we

get that we will start manufacturing and start delivering it to the Indian customers.

Harshit Patel: Just last one bookkeeping question on the developmental front. So, could you tell us the quantum of revenues and the orders which we have done in Financial Year '24 on the developmental programs? That will be my last question.

C.B. Ananthakrishnan: Development sales for the last financial year, it was somewhere around 1,500 crores. Out of 30,000 crores it was somewhere around 1,500 crores. which would come to roughly around the 5% of the total revenue.

Harshit Patel: And developmental orders, what was the quantum last year?

C.B. Ananthakrishnan: Developmental orders. We need to check that. Outstanding developmental orders is somewhere around 900 crores.

Moderator: We have our next question from the line of Girish from MS.

Girish: Just one request, we don't hear from you often, so if you could spare more time, we respect your time. But if you could do at least 6 monthly calls. I had two questions. Firstly, on the manufacturing side, I know it is going to be lumpy because different platforms get into execution at different points of time. Can you help us with what could be the revenue growth that we should expect for this year? And then maybe, is it like 15% and then it steps up to 20%-25%? If you could help us because ROH as you rightly said, will be lower than double digits, so just wanted to understand that one? And secondly on the GE platform bit, just wanted to understand that whether there will be a onetime payment that HAL will make it will be capitalized or it will be something like expensed out as you pay some royalty for this TOT arrangement if you can help with that?

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C.B. Ananthakrishnan: As far as your second question is concerned, it is little premature at this point of time since we haven't started our commercial discussions as yet with GE. So, we would like get to know what is the sort of compensation which they will be looking for, only when we start discussing with them the commercial offer. So that will be there happening in the next 6 months timeframe and after that we'll get more clarity on that. So as of now we will not be able to tell much on that. As far as the manufacturing growth is concerned, now that with the orders getting executed, the manufacturing growth definitely it has to be around 15% to 18% growth has to be there every year. And the repair and overha

Il growth of around 9% to 10% growth, we will be able to sustain our growth what we have shown in the current financial year of 13% on an average, both manufacturing and repair and overhaul put together, we will be able to sustain that growth.

Moderator: We have our next question from the line of Amit Mahavir from UB S.

Amit Mahavir: The 470-480 billion orderly intake guidance does not include the MRO orders, right? My understanding is correct.

C.B. Ananthakrishnan: Yes. The MRO orders, can you just clarify what is it?

Amit Mahavir: The 470,00 crores orders guidance for FY25 is only for those 3- 4 platforms that you mentioned that does not include the MRO orders?

C.B. Ananthakrishnan: Yes, you're right. Absolutely right. The repair and overhaul order accretion will be on an average 20,000 crores per annum.

Amit Mahavir: And the second part is sir do you think Mark 1A 97 is possible by the 4th Quarter of fiscal '25 or you think the paperwork and the process will basically take it only to '26 first half something like that?

C.B. Ananthakrishnan: The way things are moving, I think we should be in a position to conclude the contract by the current financial year that is before the 31st March '25.

Amit Mahavir: The EBITDA margin guidance of 26%-27% that you have issued does not include any provision reversals or provision change if any? That's the only understanding.

C.B. Ananthakrishnan: We are only talking about the operating margin plus depreciation and amortization. And of course, interest income

Amit Mahavir: Because going by last 2 years it has been reversing. I would assume FY25 will be the same reversal process.

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C.B. Ananthakrishnan: No, there will not be any substantial reversals which will have a major impact on the EBITDA margin. There will be normal reversal which are happening year-on-year and that will only be continuing but no major reversal will be there.

Moderator: Thank you, sir. That would be the last question for today. I would now like to hand the conference over to Mr. Harshit Kapadia for closing comments. Over to you sir.

Harshit Kapadia: Thank you Manav. We would like to thank the management Shri. C.B. Ananthakrishnan; Director (Finance) CFO with additional in charge Chairman, Managing Director, Shri. Jayadeva:

Director (Operation) for giving us an opportunity to host this call. We also like to thank all investors and analysts for joining this call. Any closing remark Anantha sir that you would want to share?

C.B. Ananthakrishnan: Thank you for this opportunity. In fact, as somebody was pointing out we would also be happy to have this analyst call at least once in a quarter. We will see how to figure out that and we will try to have the discussion and keep all the investors updated of what is happening in the company. One thing which I can tell you is that HAL is today a very consistent growth profile. With the sort of policies which have been initiated by the government and with Atmanirbhar and the need for becoming self-reliant, I feel the question is that there is not going to be any dearth of orders. And we are also conscious of the fact that we also need to execute those orders and we are taking all round initiatives to see that these orders are also getting executed within the given timeline. So, which would mean that the growth and the performance with the company has been reflecting in the last 2 to 3 years, will keep continuing and keep improving year-on-year. I am confident that the sort of all the stakeholders, we will be able to satisfy, whether it be the shareholders, investors of the company or whether it be the customers or whether it be our partners in the programs, we will be able to really keep all the stakeholders in a very happy frame of mind. I wish you all happy investing in HAL and the company will always keep up to

your

trust and confidence which you have on us. Thank you.

Moderator: Thank you, sir. On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

CO/SEC/4(7)/2025-26/ BSE & NSE Filing/18 22nd May, 2025

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Dear Sir/ Madam,

Sub: Transcript of Q4FY25 Results Conference Call

Ref: BSE Scrip Code: 541154, NSE Symbol: HAL

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of Q4FY25 Results Conference Call held on Friday, the 16th May, 2025 hosted by Elara Securities (India) Pvt Ltd, is made available on Company's Website at <https://www.hal-india.co.in/investors/analyst-investors-meet>

2. This is for your information and record, please.
Thanking you,

Yours Faithfully
For Hindustan Aeronautics Ltd

(Shailesh Bansal)
Company Secretary & Compliance Officer

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"Hindustan Aeronautics Limited Q4 FY '25 Earnings
Conference Call"

May 16, 2025

MANAGEMENT : S HRI. D.K. SUNIL – CHAIRMAN AND MANAGING
DIRECTOR WITH ADDITIONAL CHARGE OF DIRECTOR
(ENGINEERING AND R&D), HINDUSTAN AERONAUTICS
LIMITED
SHRI. BARENIA SENAPATI – DIRECTOR (FINANCE) AND
CHIEF FINANCIAL OFFICER , HINDUSTAN
AERONAUTICS LIMITED
SHRI. RAVI K. – DIRECTOR (OPERATIONS),
HINDUSTAN AERONAUTICS LIMITED
SHRI. M.G. BALASUBRAHMANYA – DIRECTOR (HR),
HINDUSTAN AERONAUTICS LIMITED
SHRI. SHAILESH BANSAL , COMPANY SECRETARY ,
HINDUSTAN AERONAUTICS LIMITED
MODERATOR : M R. HARSHIT KAPADIA – ELARA SECURITIES INDIA
PRIVATE LIMITED

Hindustan Aeronautics Limited
May 16, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '25 Earnings Conference Call of Hindustan Aeronautics Limited hosted by Elara Securities India Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harshit Kapadia from Elara Securities. Thank you, and over to you, sir.

Harshit Kapadia: Thanks, Pooja. Good evening, everyone. On behalf of Elara Securities, we welcome you all for the Q4 FY '25 and FY '25 Conference Call of Hindustan Aeronautics Limited.

I take this opportunity to welcome the management of Hindustan Aeronautics, represented by Shri. D.K. Sunil, Chairman and Managing Director, with additional charge of Director (Engineering and R&D); Shri. Barenia Senapati, Director (Finance) and CFO; Shri. Ravi K., Director (Operations); and Shri. M.G. Balasubrahmanya, Director (HR), along with Shri. Shailesh Bansal, Company Secretary, along with their team.

We will begin the call with a brief overview by management followed by Q&A session.

I will now hand over the call to Sunil sir for his opening remarks. Over to you, sir.

D.K. Sunil: Good afternoon, ladies and gentlemen. It gives me great pleasure to welcome all of you to Hindustan Aeronautics Limited annual earnings call for the Financial Year 2024-25.

I trust you had the opportunity to review our financial results which were announced yesterday and hosted on our website as well as filed with the Stock Exchanges.

This is the first interaction I am having with you after taking over as CMD of HAL. We are ready to engage with you today, providing insights into our financial results, offering updates on the physical advancement of our projects and addressing any clarifications you may seek. The year 2024-25 has been a significant one for HAL, marked by opportunities and challenges. Through unwavering perseverance and resilience, we successfully navigated the year and concluded it on a strong and positive note. We have achieved many positives during the year, which I would like to recapitulate for your benefit.

HAL has been bestowed with the prestigious Maharatna status on 12th October '24. HAL is the first defense PSU to be named Maharatna and is the 14th CPSE to achieve this status.

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The first AL-31FP engine for the Sukhoi-30 was delivered under the 240 engines contract. It was delivered on 30th September '24 within 1 month of contract signature.

We inaugurated the state-of-the-art propellant tank production and CNC machining center to meet the growing needs of supporting six launch vehicle LVM3, India's heaviest and most powerful rocket last year.

A out-of-court settlement with the State Govt. of Maharashtra resolving the long pending disputed sales tax issue on supplies and services by HAL to Defense services was concluded.

The final settlement was made at Rs. 2,471 crores against the disputed demand of Rs. 10,079 crores, and the amount was fully reimbursed by the Indian Air Force.

We have received new orders aggregating Rs. 1,25,280 crores, the details of which I will detail subsequently. HAL received certification for the upgraded version of the Dhruv Civil Advanced Light Helicopter from DGCA. The Mistral missile firing was conducted successfully on the LCH Prachand at integrated test range Chandipur, Odisha. HAL received Restricted Military Type Certification (RMTC) from CEMILAC for HTT-40 basic trainer

aircraft.

Now, I would like to update you on the financial performance of the company. During the year, the turnover of the company increased to Rs. 30,105 crores from Rs. 28,162 crores, an increase of 7% over the previous year. This was achieved despite certain challenges we faced on the supply chain for LCA Mark 1A as well as grounding of the ALH fleet due to an accident. The revenue targets could be achieved with the help of the AL-31FP engines and RD-33 engines production.

On the revenue front, the growth rate is around 2%. This is due to one-time impact of Rs. 1,502 crores in the revenue of the previous year from Change Order 3 of the LCA IOC contract. Adjusted for the same, during the current year, the top line grew by 7.25%.

The profitability of the company remained robust during the year. We achieved profits before tax of Rs. 10,820 crores, which is 35% of revenue. Profitability was achieved with the help of improved operational efficiency as well as improvements on other fronts. The operating profit to revenue was at a similar level of previous year at 27%.

The other income has accounted for 8% to overall profitability. The other income primarily accounts from interest income was at Rs. 2,566 crores against Rs. 1,899 crores of the previous

year. Cost optimization is one of the focus areas of the management and through optimization of manpower costs, overheads and increasing outsourcing content, we were able to improve the overall profitability of the company.

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The inventory holding you may find to be at an increased level from 159 days to 263 days. We believe this is necessary considering the manufacturing cycle times of 18 to 36 months. The work in progress build-up is essential to meet the delivery timelines.

The order book of the company improved to Rs. 1,89,300 crores against the previous year order book position of Rs. 94,127 crores as of 1st April 2024 and after liquidation of current year turnover of Rs. 30,105 crores. The increase is on account of the conclusion of manufacturing contracts of Rs. 1,02,337 crores, namely 240 AL-31FP engines for the Sukhoi-30 for Rs. 25,500 crores, supply of 156 LCH Prachand, Rs. 62,777 crores, supply of 12 Sukhoi-30MKI aircraft at Rs. 13,454 crores besides other upgrade programs.

During the period, we also received ROH repair and overhaul orders of Rs. 19,271 crores, design and development orders of Rs. 3,180 crores and export orders of Rs. 493 crores.

Further, the order pipeline looks even more promising with the anticipated contract of 97 LCA Mark 1A, 143 ALH for IAF, Army and 10 numbers of DO-228, Dornier for the Indian Navy and Coast Guard and upgrade of 40 Dornier for the Indian Air Force are at various stages of approval. The aggregate value of the order pipeline is estimated at around Rs. 1 lakh crores and are expected to materialize within the next one to two years.

In addition to these manufacturing orders, we also expect to receive ROH repair and overhaul orders of around Rs. 20,000 crores. These orders will keep our manufacturing lines busy till 2032-33. Going forward, the order execution will gather momentum. During the year, we expect to scale up the deliveries of LCA Mark 1A, ALH, LUH and HTT-40 aircraft besides continuing deliveries of engines.

Now, let's turn to the initiatives aimed at driving future growth and expansion. These days, we are focusing on two key strategic areas, namely capacity building aimed at fulfilling customer commitments and capability building to prepare the company for the future. The emphasis has been on proactive procurement, enhancing capital expenditure and increasing investment in research and development and indigenization of key components with an aim to achieve Atmanirbharta.

We are investing significantly on our manufacturing lines for both helicopters and aircraft.

Significant investments are planned for increasing the manufacturing capacity for helicopters, fighters, trainers, aero engines at various locations. These enhanced capacities would not only enable HAL to speed up execution of the existing orders, but also free up capacities for additional orders from our customers.

In line with our strategic goals, we have formulated a comprehensive CAPEX plan for the next five years, with an estimated outlay of Rs. 14,000 to Rs. 15,000 crore. This investment will focus on expanding manufacturing capabilities and setting up ROH facilities for various platforms.

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Additionally, we plan to develop manufacturing infrastructure for LCA Mark-2, GE-414 engines and IMRH engines along with facilities to support design and development activities for the IMRH, AMCA and other related projects.

To conclude, HAL remains firmly committed to driving sustainable growth through strategic investments in capacity and capability building. Our investments in critical infrastructure and strategic assets will further strengthen our manufacturing and R&D capabilities. We believe these initiatives position HAL to not only meet the evolving demands of the defense sector but also to play a pivotal role in driving self-reliance and technological advancement in aerospace and defense. Thank you for your continued support.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Umesh Raut from Nomura. Please go ahead.

Umesh Raut: Hi, sir, good evening, and congratulations for the very good set of numbers. My first question is pertaining to LCA program, Mark 1 and Mark-2. So, in case of Mark 1, what kind of delivery schedule that we are now expecting over the course of, say, next three years in terms of units? And in case of LCA Mark-2, where exactly we are in terms of negotiations with GE for F414 engines? we are hearing that there is an update regarding renegotiation in terms of cost happening for that particular engine. So, I just wanted to kind of hear your thoughts on these lines.

D.K. Sunil: Yes, thank you for the question. On Mark 1 Alpha, as you are aware that the GE engine has been

hold up. However, General Electric has been able to solve their supply chain issues. And the first engine was delivered in April of this month, and we have already fitted it on the aircraft and tested that. GE has promised a supply of 12 engines in this calendar year up to December. This is confirmed, and they will be sticking to this schedule. So, we will be getting 11 more engines in this year.

So, the visibility is that 12 aircraft will be ready this year with these engines. We expect that since they have overcome the supply chain issue, the deliveries I think will continue in the succeeding years, and we should be over this supply chain problem as for the engine is concerned and the supplies in the succeeding years will I think be smoothed.

Coming to your question about Mark-2, Mark-2 is now at the manufacturing prototype stage, and we expect to fly the prototype in the next year, 1st Quarter of next year. And as far as the engine, the 414 engine, which is powering that, for the initial prototypes, we do have engines. So, there is no hold up on the prototype testing and certification part.

We are now engaging actively with GE. We have had a series of meetings and we have focused on two parts with GE. One is on the amount of technology transfer as well as the pricing. So, Hindustan Aeronautics Limited

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today we are working on the first part of the technology transfer. And we expect that in this financial year; we will be able to come to a conclusion of this deal.

Just to give you a perspective, Mark-2 will do about 3 years of, it will take 3 years to certify. So, if

it starts flying in '26, we expect certification to be completed in '29-30. Next please.

Umesh Raut: Sir, just one last question on...

Moderator: Sir, we request you to rejoin the queue for follow-up questions. The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Hi, good evening, everyone, and thanks for the opportunity. My question is on the AL-31FP engine. So, I just wanted to understand the delivery schedule for that and what are the indigenization levels currently in this particular platform? Also, we had signed a MoU with PTC Industries for some specific indigenization, perhaps. I just wanted to understand whether that MoU will translate into actual order. That was my question.

D.K. Sunil: Yes, the AL-31FP engine is 240 engines, which we will be delivering at the rate of about 30 engines per annum. So, over 8 years, this order will be liquidated. Currently, the indigenous content is of the order of 57%, which we are trying to enhance by indigenizing more of the material within the country. We are working with MIDHANI for indigenizing some of the raw materials and this is an ongoing process.

Coming to your question about PTC. PTC is specializing in titanium casting. So, we are working with PTC and they are making parts for us. So, we see that they have also installed a new plant recently. So, we are very happy that the private sector is coming up and installing and investing more. So, I am sure we will be working more with PTC and definitely they will become an important part of our supply chain.

Amit Dixit: I have some follow-ups. I will come back in the queue.

Moderator: The next question is from the line of Atul Tiwari from JP Morgan. Please go ahead.

Atul Tiwari: Sir, my question is on the revenue growth in FY '26 and '27. What kind of revenue growth should we expect and what will be the EBITDA margin outlook for the company?

D.K. Sunil: Yes, I think Mr. Barenya Senapati, our Director of Finance and CFO, maybe you could take that?

Barenya Senapati: Yes. Good evening. The EBITDA margin we will be maintaining, see our EBITDA margin is around 38%-39%, and if you remove the interest income, so EBITDA will be around 31%. So, Hindustan Aeronautics Limited

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we will be maintaining 31% at operating level. And revenue growth, the guidance is 7% to 8%, whatever is there, we will try to continue with that.

Atul Tiwari: So, sir, despite the resolution of LCA Mark 1 bottleneck, we are unlikely to see double-digit kind of revenue growth this year?

Barenya Senapati: Yes. Double-digit growth we are expecting, but the guidance at present level is 8%. Around 8% to 10%, because some of the contract amendments were there in the current year and previous year. So, to neutralize that and then we will maintain the revenue growth.

Atul Tiwari: And sir, over the medium term, like, say, over the next 2-3 years, can we expect mid-teens 12%-13% kind of revenue growth? Are we likely to grow only at 8%-10%?

Barenya Senapati: No, we are expecting double-digit growth from next year onwards. It may so happen in the current year also. But the guidance is 8%-10%, and it may so happen a double-digit growth from next year onwards.

Moderator: We will take our next question from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Hi, thank you very much for the opportunity. Sir, my question is on the LUH program, the Light Utility Helicopter. We are still awaiting the order for limited series production of 12 numbers.

Why is this program been delayed so much? Is it undergoing a fundamental design change? And when do you expect the bulk production order of 20 odd numbers?

D.K. Sunil: Yes, as you have said, we have been looking at an order of 12 numbers which has been in the pipeline. Basically, there have been a couple of setbacks on the design.

sign. Actually, the basic

aircraft itself, the IOC, has been obtained. Regarding some flight control software and something to do with the aircraft dynamics, we have a couple of issues which are being tackled. So, we expect that in this financial year, we will be able to solve these issues. So, this will be allowing us to go further on the order.

So, we expect to conclude this deal for 12 numbers, which, by the way, we have already started producing with our internal funds. We have already built 8 aircraft. So, there is no fundamental change in the aircraft structure, dynamics. Overall, the aircraft are ready, but we need to solve a couple of mostly software-related issues. We expect to do that this year, and then we will be able to deliver these helicopters in quick time because we have already built them and we are going forward on that.

Harshit Patel: Sir, can I ask a second question?

D.K. Sunil: Okay. Please go ahead.

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Harshit Patel: Sir, my next question is on the Sukhoi-30 upgrade program. Has there been any update on the same? And by when do you expect to receive the order for the first batch of 84 units? So, could you share how large this potential order could be?

D.K. Sunil: You see, the Sukhoi-30 upgrade that we are attempting is a very ambitious program where the whole avionics is going to be changed. Right from radar to mission computers to the displays, it is a very extensive avionics upgrade. This year we expect government approvals. So, we expect that in the next six months we will be able to get this project going, the D&D part will start going. The aircraft order itself will kick in about five to six years. The IOC itself is five years. Then the aircraft order will come in for this 84, as you have said. The value is expected to be around Rs. 60,000 crores, and that will start kicking in from the 6th year onward. So, once the design and development has come to a certain maturity and we have reached the IOC, by that time the other contract will start for the fleet modernization. So, we expect that this order will come to fruition maybe in about 5 years' time, by which time the design and development will be completed.

Harshit Patel: Thank you very much for answering my questions and all the very best.

Moderator: The next question is from the line of Amit Mahawar from UBS Group. Please go ahead.

Amit Mahawar: Hi, sir, good evening. Sir, I just want to understand the dynamics for MRO business. How will it grow and how has it grown this year? And given the light that your manufacturing has to scale up significantly in the next three years as you approach 16 plus LCA Mark 1A execution, how will the profitability remain at the current level?

D.K. Sunil: Coming to your point about the manufacturing growth, you see, for LCA, we have established two lines in Bangalore and we have now invested a few 100 crores and we have established the third line at our Nashik plant, which is expected to roll out in the next couple of months. The first aircraft will roll out from that line.

So, coming to capacities, we will be having this kind of installed capacity of about 24 numbers. Additionally, we also have built a model of getting the fuselage components from private sector partners. So, for example, the wings will come from L&T, the center fuselage will come from VEM, the rear fuselage will come from Alpha Tocol, the vertical fin and air intake, and the rudder will come from Tata TASL. So, that will add to this quantity.

So, last year, we were able to get the first rare fuselage from Alpha Tocol. So, we expect that as these private sector players with our support ramp up and they start producing, we will be able to get further aircraft sets from the private sector. So, the expectation is that if we add about

six

from the private sector, we will have a capacity of almost 30 aircraft per annum. So, this is the

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way we are approaching this ramping up of production to meet the 83 LCA and the subsequent order.

The question about ROH may be, DF, you could answer.

Barenya Senapati: The repair and overhaul, if you see, with the addition of new manufacturing platform, definitely it is going to increase. And there will be also some phase out of old aircraft. But if you see, it is continuously growing at the rate of 5% and with the addition of LCA and ALH and LCH, it will grow in the subsequent years, but not immediately in one or two years or three years. And as far as your profitability is concerned, our operating profit to revenue is around 27%, and with the kind of mix turnover, manufacturing and repair, we will be maintaining the operating profit to revenue at 27%.

Amit Mahawar: In your question, if I can clarify again, in MRO, the risk of old platforms phasing off, which might impact the MRO adversely, that naturally in the last five years grown at 14%-15% plus, right? I was just referring to the phase up in manufacturing, phase up, which might be very, very sharp in next three years. So, there is a risk of MRO declining in the next few years and particularly FY '25, if you can share the MRO number?

D.K. Sunil: No, you see, we have about 340 ALH flying in the field. We have 250 plus Sukhoi-30. We have the Jaguars, which are life is extended. So, you can see that the Jaguars are going beyond 2035. The Sukhoi-30 will extend up to 2050, eventually, you know, the overhaul. We are adding more and more of the Dorniers. We have 150 Dorniers in the field. The ALH, the Dorniers are going to increase. So, this is a continuous business.

So, what you are saying is only for MiG-21, a couple of squadrons have been phased out. But if you look at our current support of the fleets, we have 40 LCA which is going to increase and the first LCA is going to come up for overhaul in 2026. So, this is a continuous business. So, with our fleets, whatever we have manufactured and supplied, these are going to be continuously coming up for overhaul in the next couple of decades.

So, we don't see that this ROH business is going to go down. Even the Chetak, which we expect will be phased out over the next 5 years, but the rate at which the aircraft come is slow. So, we see that the ROH is going to be very robust, and it is going to be a continuous stream. So, it is going to be a significant part of our revenues.

Moderator: The next question is from the line of Jonas Bhutta from Aditya Birla MF. Please go ahead.

Jonas Bhutta: Thank you for giving me the opportunity and congratulations on a great set of numbers. Two quick questions, sir, I don't know if this has been covered earlier as I joined the call late. What was the delivery number for this year in terms of aircrafts plus helicopters? What was that Hindustan Aeronautics Limited

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absolute number? And secondly, you know, we see that the provisioning in the P&L has come off. If you can explain what led to that, because I am presuming that the Sukhoi that got damaged while undergoing repair and overhaul would have led to some bit of write-off of almost Rs. 800 Crores plus crores. So, if you can help us understand what led to lower provisioning and what could it be next year?

Barenya Senapati: This provisioning of Rs. 800 Crores, it's not a write-off. We have made a provision of Rs. 804 crores towards that accident Aircraft. And regarding last year's provision, there were some MRO recoveries and all those things against the loan engines. And so there was a little bit of extra provision made in '23-'24. We said that Rs. 804 crores is against the accident Aircraft. Still discussions are going on with Indian Air Force, but as

a prudent we have made a provision of Rs. 800 crore.

Jonas Bhutta: So, this Rs. 2,500 crore number that we see for the year '25, what could it be in '26, roughly?

Barenya Senapati: Yes, it will be at the same level. This provision, whatever is against the replacement liquidated damages and other warranty provision, it will be at the same level. It may deviate 3% to 5% within that. But any specific kind of thing like this accident and all those things, so this year there is an extra provision of Rs. 800 crores. But it will be at the same level.

D.K. Sunil: Coming to your question about the aircraft numbers, you see, this year was actually quite a difficult year. We had a double whammy in terms of lack of supplies of the engine from General Electric. So, even though the airframes were lined up, we could not make good on the deliveries of the LCAs.

However, that is behind us. As I said, the first engine was delivered in April. GE has overcome their supply chain issues, and they assured us that they will supply 12 engines this year. So, that is the kind of deliveries we hope this year we will be able to make.

Unfortunately, we had the ALH incident, and even though the aircraft were ready, because the fleet was grounded, which has been removed now and the aircraft are back in action. So, that also could not happen last year and that will be covered up this year. So, definitely, we were still able to meet our numbers in spite of these kind of events. Next year definitely these deliveries will happen.

Jonas Bhutta: So, what was the number, sir, if you don't mind? And for '26, what is the MoU target, sir?

D.K. Sunil: 24-25 was 1 FOC, 2 Dorniers and 1 FOC of LCA. And as far as the helicopters were concerned,

it was six or five.

Jonas Bhutta: So, roughly 14-15 numbers were delivered.

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D.K. Sunil: Yes.

Jonas Bhutta: And what is the MoU target for FY '26, sir?

D.K. Sunil: No, we will be able to cover up. As I said, you see, whatever we had planned last year, we already have built those aircraft, whether it is the helicopters or the aircraft. We have already built those. So, that definitely we will be able to deliver.

Barenia Senapati: I think CMD has already answered in the first question itself regarding LCA.

D.K. Sunil: We will be able to deliver those aircrafts.

Moderator: The next question is from the line of Dipen Vakil from Phillip Capital. Please go ahead.

Dipen Vakil: Sir, I have just one question. Sir, within your order book, what is your pending orders for ALH? And how much of it is for Army and Air Force variant and the split between Army and Air Force and Coast Guard and Navy? And when do we expect a resolution for the Navy and Coast Guard version for the same?

Barenia Senapati: Army, it is 20.

D.K. Sunil: 20 Helicopters.

Barenia Senapati: 20 Helicopters and Coast Guard 9.

Dipen Vakil: And when do we expect any resolution on the grounded fleet for Navy and Coast Guard? So, where is the current status?

D.K. Sunil: Yes, we have instrumented two helicopters to locate this particular peculiar condition why this has happened over in spite of large, we have almost 4 lakh plus hours of flying on the ALH, and this is the first time that an incident of this type has happened specific to the Navy at Coast Guard.

So, we have instrumented 2 helicopters, and we will be flying them in to simulate exactly those conditions. We will do it in the next couple of months. So, we expect a resolution by early July where we will have enough data, and we will be going back to the certification authorities with the data, and then way forward will be decided. My expectation is in July we will have resolution of this.

Dipen Vakil: And one more question. Sir, where are we on the Airbus and HAL deal for civil aviation? And what is it that we can expect going ahead in FY

'26 and beyond?

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D.K. Sunil: With Airbus we have an MoU where we will be doing the C checks for the A320. So, we have set up the facility at Nashik. And we are now going through the certification process along with DGCA. And next will be EASA. So, those processes are in place. We are putting the people, the certifications. Those are going on. And by end of this year, we will have that. And we have already started some work with Indigo.

So, we expect that it will start generating revenue in Q1 of next year or maybe it would go to the next financial year. So, this today, we are investing in building up the facilities, manpower and getting the requisite certification so that the C checks can be done at Nashik.

Dipen Vakil: This was helpful. And all the best for FY '26.

Moderator: The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: So, thanks for taking my question. My question again is for LCA. You said there will be 11 more engines coming in and then we will be doing 12 deliveries in I think CY '25. I wanted to understand has the timeline changed for the overall 83 deliveries? What is the assessment on the number of engines coming in in the subsequent years from GE?

D.K. Sunil: See, as I said, even I did, we had a very high level meeting with GE Top Management, and we went and had a look at their facilities. And we also understood that due to COVID and post-COVID, they have had a lot of issues with their sub-vendor shutting down and taking time to ramp up.

And as you are aware, in aerospace whenever you shut down a production line, when you come back, you have to do a re-certification. So, that is what has taken time. And the re-certified engine was completed in March. Recertification was completed in March by GE. And the first engine was delivered in April. We have already tested it and fitted it on the first aircraft.

So, I think that is behind us. And GE has assured us that they will be delivering 12 engines in this calendar year. So, with this, I feel the flow will continue at roughly maybe 2 engines per month. That's what we expect. Though the firm commitment is 12 engines this year, I hope that with the supply chain issues behind us, the subsequent deliveries will continue. So, we will be able to catch up and ensure that the deliveries to the Indian Air Force will happen as per schedule.

Amit Anwani: Sir, additionally for the helicopter since we got the order, what is the capacity and with the CAPEX which you announced, to what capacity will the helicopter capacity will go in the next one or two years?

D.K. Sunil: You see, we have an order for 156 Prachand. That is 90 for the Indian Air Force, 66 for the Indian Army. IAF. Sorry, 66 for the IAF and 90 for the Indian Army. And today, our plan is to execute this in about 5.5, 6 years max. That is the initial deliveries will start, in 36 months we Hindustan Aeronautics Limited
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will deliver the first batch. So, the batch size will be about 30 aircraft per annum. So, we will be able to deliver these helicopters Starting '27, '28 to 5 years from then, these helicopters will be delivered. So, we have capability capacity in Bangalore as well as our new factory in Tumkuru, where we will be able to produce the number is about 30 helicopters per annum.

Amit Anwani: So, the total current capacity is 30. So, 30 you can...

Moderator: Sorry to interrupt you, sir, but we request you to rejoin the queue for follow-up questions as there are participants.

Amit Anwani: Just a clarification I wanted on the helicopter capacity currently and what would be the...

D.K. Sunil: See, we have invested in the Tumkuru plant exactly for this reason. Our Bangalore capacity will continue for the ALH and eventually the Tumkuru factory will become the main center

where

we will be producing the LCH and going forward we will be producing the LUH. So, all our investments are going into Tumkuru and we have built already this factory. So, we already have capacity there. So, as of now, we have 30 capacity in Bangalore. And going forward with the investments, we will be able to produce 30 LCH at Tumkuru. So, that kind of investments is already in place.

Moderator: The next question is from the line of Hardik Rawat from IIFL Capital. Please go ahead.

Hardik Rawat: Thanks for the opportunity. Sir, I just wanted to understand our stated target is for 12 jets in the current fiscal. What sort of revenue would this turn into? The 12 jets. What would be the revenue potential?

D.K. Sunil: 12 LCA what will be the revenue?

Barenia Senapati: See, I cannot tell you the exact number, but it will be in the range of Rs. 3,000 crores.

Hardik Rawat: Rs. 3,000 crores for the 12 jets.

Barenia Senapati: Yes.

Hardik Rawat: I have another question if you would allow me.

D.K. Sunil: Yes.

Hardik Rawat: With regards to the Tejas Mark-2 developments, where are we on that? And how exactly, you know, when are we expecting that to potential commercialization in terms of early talks that you have had with IAF or something like that?

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D.K. Sunil: Yes, the first flight of the prototype is expected next year, early next year, '26. And certification is typically three years, so '29. So, production should start in '30-'31. That is what we expect.

Normally, we also do a concurrent production. So, when the certification has come to a certain maturity, we start doing the production. So, the production will be in 2030-31. That will be the initial part. And 2029 will be the certification, and then we will be getting into production.

Hardik Rawat: I have more questions but I will fall back in the queue.

Moderator: The next question is from the line of Teena Virmani from Motilal Oswal. Please go ahead.

Teena Virmani: Thank you, sir, for taking my question. Sir, I have just two small questions. One, if you can provide breakup of revenues across manufacturing, ROH, design and development and exports for FY '25 and for the manufacturing revenues beyond Tejas for FY '26 onwards, which all platforms as per you will be contributing to the revenue recognition and how will it scale up? These are my two questions.

D.K. Sunil: Yes, again, DF, you can take that.

Barenia Senapati: Our manufacturing percentage is around 23% and design, export and other developments around 7%. So, 30% and balance 70% will be from repair and overhaul and supply of spares.

Teena Virmani: So, manufacturing is 23% and then 7% is what? Design?

Barenia Senapati: 7% is our design, export and other developments, other sales. And supply of spares and repair and overhaul will be around 70%.

Teena Virmani: And on the manufacturing revenues, beyond Tejas platform, which all platforms will be contributing to revenue recognition?

Barenia Senapati: These are mostly engines, AL-31 FP engines and RD-33 engines.

D.K. Sunil: ALH also. Current year.

Barenia Senapati: Current, only two engines.

Teena Virmani: So, sir, then execution of these projects, wouldn't that lead to a slightly higher or double-digit kind of revenue growth in the manufacturing revenues, if we include Tejas plus all these engines?

Barenja Senapati: With the increase in the manufacturing, we are expecting, there was some contract amendments in the current year. With the neutralizing that, so we are expecting minimum growth of 8%, and it may also grow beyond 10%, but that guidance we cannot give you right now. What guidance we can give you is around 8% to 10%.

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Teena Virmani: Later if you can adjust what kind of contracts...

Barenja Senapati: That we can tell you only

only after our RE and after 6 months. We will have another meet, and I can tell you.

Moderator: The next question is from the line of Sachin Maniar from 3P Investments Manager. Please go ahead.

Sachin Maniar: So, basically, I want to know about the delivery schedule for Sukhoi 12 numbers, how they have been progressing for next 3 years. And second question is what will be the ROH and spares order inflow for this year?

D.K. Sunil: See, Sukhoi-30 12, there is a lead time of two years. So, we will be starting that production in '26-'27. It will conclude in '28-'29. So, over maybe slightly more than 1.5 years because the first year will be more and the second year we will taper off the 12 numbers. So, this is the schedule for the Sukhoi-30. There is a lead time because we have to get the material. The line had stopped, and we are reviving the line. So, the lead time is about 2 years to start production. And your other question?

Barenja Senapati: Repair and overhaul our orders will normally get in the range of Rs. 20,000 crores every year.

Moderator: Our next question is from the line of Jyoti Gupta from Nirmal Bang Securities. Please go ahead.

Jyoti Gupta: The numbers are quite in line with my estimates. I would like to understand what were the reasons that, I mean, apart from LCA Mark 1, we do have platforms in helicopter, which is Dhruv, Rudra and all, wherein the manufacture of engines is Safran and HAL in collaboration. Why in FY '25 we could not deliver the helicopter platforms apart from, did we have any issues in terms of the intermediate jet trainer, where the engines are provided by UEC Saturn? And Dornier, I mean you were able to deliver Dornier in FY '24 two numbers and that too at a very short period of time. What constrained the company from delivering additional or rather honor or obligation of delivering Dorniers in FY '25?

D.K. Sunil: To answer your question about the ALH, you are aware that the entire fleet was grounded after we had an accident with the Indian Coast Guard helicopter. And we were able to now get those army and air force helicopters off the ground about a couple of weeks ago. So, that problem is behind us. So, that's how, even though the aircraft were ready, we could not deliver. This year we will be able to cover up on the ALH. This is as far as the ALH is concerned.

The Dornier 2 numbers we have delivered to Guyana. These are the civil variants. We did not get a follow-on order. We are trying to still look at that. We are looking at multiple areas across the world where we can deliver this aircraft. Notwithstanding that we are building aircraft in

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anticipation so that as and when the order comes, we will be able to deliver. Yes, these are the two questions, right.

Jyoti Gupta: I will fall back in the queue.

Moderator: The next question is from the line of Harshit Kapadia from Elaara Securities. Please go ahead.

Harshit Kapadia: Thanks for the opportunity and congratulations for a good result. I just wanted to check on the current conflict which happened. We saw a lot of drones being flying. Is there an area where the HALE and MALE drones, where Hindustan Aeronautics is working? There was one which we saw in Aero India, CATS Warrior. Any progress or any new development on any new drones, if you can suggest the MALE or the HALE version, that would be of great importance.

D.K. Sunil: Yes, as you have seen that these kind of unmanned vehicles are going to dominate. We have seen it very clearly. However, there are two categories in this. You know, the kind of drones that are used are the low cost, low weight drones. This is a highly price sensitive market and there are plenty of players. So, HAL is not into that space.

What we are looking at is the UCAV, Unmanned Combat Air Vehicles, which can carry missiles and bombs and so on. So, the CATS Warrior

that we had showcased is a 3 ton aircraft. And that

development is on. It is still under R&D. And we have come to a stage where we are building the prototypes and testing the different technologies like the data link, the engines and so on. So,

that is still work in progress.

So, I think the market we are targeting is the higher end which is the more capable vehicle. We will play in that area. We will not be able to compete in that price sensitive lower UAV market.

So, we are not looking at that as a company strategy.

Moderator: We will take our next question from the line of Umesh Raut from Nomura. Please go ahead.

Umesh Raut: Thank you so much for giving me a repeat opportunity. Sir, I have one bookkeeping question.

So, if I look at FY '24 for you, you booked about closer to Rs. 2,100 crores of operational revenue because of provisions which were written back. For FY '25, was there any provisioning which was written back and included in the revenue from operations?

Barenia Senapati: No, that is what I told you. So, there were some non-recurring revenue from operation in '23-'24. So for that reason, if you adjust that, then our revenue from operation, still it stands at 7.25%.

So current year, no such reversal of provisions are there.

Umesh Raut: And just a clarification on margin guidance that you have given for FY '26. You mentioned margins would be similar to full year of FY '26. Was that correct?

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Barenia Senapati: Yes, revenue from operation and we will be maintaining our profitability.

Moderator: We will take our next follow-up question from the line of Atul Tiwari from JP Morgan. Please go ahead.

Atul Tiwari: So, thanks a lot for taking my question again. Sir, you said about 8%-10% revenue growth, and it looks like that even over medium term we may not get to 15%. So, how do you look at this kind of revenue growth number, especially in the context of a huge order book which is already more than 6x annual revenue, and obviously you will get Rs. 1 trillion more orders which will increase your book to build to 8-9x. So, should not we be aiming for 14%-15% kind of revenue growth to finish this order book as soon as possible?

D.K. Sunil: So, you see, in the aerospace and defense sector, a backlog of about 6 to 7 years is considered healthy. So, that is the kind of number we will reach after this year. We will have about 6 years, less than 6 years of backlog.

So, the idea is that we have to invest, but the investment has to be prudent so that we don't have too much of capacity. So, we are now building capacity so that by '31, '32, we will be finishing the LCA production. And then the LCA Mark-2, our plants will start producing the LCA Mark-2.

So, the whole phasing is that we optimize the investments. And our plants will be occupied with LCA Mark 1 initially. And later the LCA Mark-2 will come in. So, this is the way we are going about. Definitely what our DF has mentioned as a guidance is the conservative guidance. I am sure we will hope to do better than that. Perhaps we will give you an update.

Barenia Senapati: See, with the contractual delivery schedule whatever is there and with the repair and overhaul, the guidance at present for '25-'26, we are giving a guidance at that level. It may go up with increased delivery of LCH and LCA in the coming years.

Atul Tiwari: And sir, any medium-term outlook? I mean, you commented on margins in FY '26 at a stable level. But should we expect similar kind of EBITDA margins continuing over medium-term as well, given you have some visibility in terms of a very, very huge order book?

Barenia Senapati: See, if you see our EBITDA, it is at the same level, hovering around 38%-39% with interest, I mean, other income. If you see the operational EBITDA, it will be around 30%-31%, and we will be able to maintain that.

Atul Tiwari: Even over the medium 3-4 years.

Barenia Senapati: Yes.

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D.K. Sunil: See, the diversified product base allows us to give us that kind of stability. We produce engines, aircraft, and helicopters. So, there is a very good range of products. It gives us this kind of flexibility so that we can maintain this kind of earning.

Moderator: Our next question is from the line of Nikhil Purohit from Fidelity Asset Management. Please go ahead.

Nikhil Purohit: Hi, I wanted to know by which year can the ramp-up for LCA Mark 1A can happen to 24 units. And then as you mentioned, the eventual 30 units as the private players come in. By when can that happen?

D.K. Sunil: The 24 aircraft will happen in '26-'27. And as I said, the private sector, they are still ramping up. So, we expect that next year we will be able to get those. In '27-'28 we will be able to get the full advantage of all the investments in the private sector. So, I would say in the next two years, we would be able to reach that number of 30.

Moderator: Thank you, sir. Ladies and gentlemen, in the interest of time, we will take this as our last

question. I would now like to hand the conference over to the management for closing comments.

D.K. Sunil: Thank you very much. It was a very interesting conversation. And the kind of interest that HAL is generating in the stock market is very heartening. It gives us and the government great strength that we are such a valued company. And I can assure you that HAL is just not a commercial company. It is a strategic company as you have seen in the recent past.

We strive to meet the requirements of the Indian armed forces and as the backbone of the Indian armed forces. So, we will definitely strive to see that we meet the twin objectives of being a very profitable and forward-looking organization at the same time being the force behind the forces of the country. So, thank you very much, and thank you for all your support. Good day.

Moderator: Thank you. On behalf of Elara Securities India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

CO/SEC/4(7)/2026-27/ BSE & NSE Filing/12 22nd May, 2026

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Dear Sir/ Madam,

Sub: Transcript of Q4FY26 Earnings Call

Ref: BSE Scrip Code: 541154, NSE Symbol: HAL

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of Q4FY26 Earnings Call held on Friday, the 15th May, 2026 hosted by Ambit Capital Pvt Ltd. is attached herewith. The same is also made available on Company's Website at <https://hal-india.co.in/investors/analyst-investors-meet>

2. This is for your information and record, please.
Thanking you,

Yours Faithfully
For Hindustan Aeronautics Ltd

(Shailesh Bansal)
Company Secretary & Compliance Officer

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"Hindustan Aeronautics Limited
4QFY26 Earnings Conference Call"
May 15, 2026

MANAGEMENT : M R. RAVI KOTA -- CHAIRMAN AND MANAGING
DIRECTOR – HINDUSTAN AERONAUTICS LIMITED
D R. BARENIA SENAPATI – DIRECTOR FINANCE AND
CHIEF FINANCIAL OFFICER – HINDUSTAN
AERONAUTICS LIMITED
M R. SHAILESH BANSAL – COMPANY SECRETARY –
HINDUSTAN AERONAUTICS LIMITED
M
MODERATOR : M R. SAMEER THAKUR -- AMBIT CAPITAL

Hindustan Aeronautics Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Hindustan Aeronautics Limited 4QFY26 Earnings Conference Call hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Mr. Sameer Thakur from Ambit Capital. Thank you, and over

to you, sir.

Sameer Thakur: Good afternoon, everyone. On behalf of Ambit Capital, I thank the management of Hindustan Aeronautics Limited for the opportunity to host their 4QFY26 earnings conference call. To discuss the results, I'm pleased to welcome Shri Ravi Kota, Chairman and Managing Director; Dr. Barenya Senapati, Director Finance and CFO; Shri Shailesh Bansal, Company Secretary. Now I invite Shri Ravi Kota to take us through the key highlights of the quarter, post which we will open up for Q&A. Thank you, and over to you, sir.

Ravi Kota: Thank you very much. Good afternoon, ladies and gentlemen. At the outset, I would like to thank all of you for taking the time to join us today and for your continued confidence in HAL. This interaction is particularly significant for me personally, as I assumed charge as Chairman and Managing Director of HAL on 1st May 2026. It's a huge responsibility to lead one of India's most strategic aerospace and defense organizations at a time when the Indian aerospace and defense ecosystem is undergoing transformational growth.

Today, I have with me Dr. Barenya Senapati, Director Finance and CFO; and Shri Shailesh Bansal, Company Secretary to answer any questions that you may have. We have declared our results for FY 2025-'26 yesterday and hosted the results on our website, as well as filed with the stock exchanges. Hope you had the opportunity to see the same.

I would like to highlight some of the physical milestones that we achieved during 2025-26 before discussing the financial numbers. Some of the major achievements during the year are: Production capacity of 8 LCA Mark-1A per annum established with the inauguration of the third production line at HAL Nashik in the presence of Honorable Rakesh Mantri on 17th October 2025.

Indigenously designed and developed ALH Dhruv NG took maiden flight in the presence of the Honorable Minister of Civil Aviation on 30th December 2025.

Maiden sortie of the first series production Hindustan Turbo Trainer, HTT-40 aircraft, successfully completed on 24th October 2025.

HAL received the Certification of Indigenous Manufacturing of Shakti Civil Engine from the DGCA on 30 December 2025.

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As part of the diversification, HAL signed the SSLV Technology Transfer Agreement with ISRO, IN-SPACe, and NSIL on 10th September 2025, securing a non-exclusive license to manufacture the SSLV.

For production of civil commuter aircraft, SJ-100 in India, HAL and Public Joint Stock Company United Aircraft Corporation, Russia, signed an MoU on 27 October 2025.

HAL contributed to ISRO's successful launch of the LVM3 mission on 2nd November 2025 and the LVM3-M6 mission that deployed the massive BlueBird Block-2 Satellite on 24th December 2025 by on-time supply of space-worthy hardware.

To position HAL as a key player in the global aerospace supply chain, HAL has signed an agreement with Safran Aircraft Engines in June 2025 for the industrialization and production of rotating parts of LEAP engines, which power the single-aisle civil aircraft such as Airbus A320neo, Boeing 737 MAX, etc.

Indigenization success stories, advanced manufacturing capabilities, and opportunities for MSME partner

ship were showcased during the National Defense Industries Conclave, 19 to 20 March 2026, inaugurated by Honorable Raksha Mantri.

Now I would like to discuss a few financial highlights for FY 2025-'26.

We have achieved revenue from operations of INR33,050 crores for financial year 2025-'26 in comparison to INR30,981 crores in financial year 2024-'25. This is an increase of 7%, despite global aerospace supply chain disruptions.

Deliveries of ALH helicopters, AL-35FP engines, RD-33 engines and ROH revenues helped offset delays in Tejas Mark-1A and HTT-40 programs. Our diversified portfolio has enabled balanced growth across segments.

Our manufacturing revenue was INR9,227 crores, and ROH revenue was at INR20,524 crores. The manufacturing revenue increased from INR7,957 crores to INR9,227 crores with the help of the delivery of ALH helicopters, AL-31FP engines, and RD-33 engines. The manufacturing revenues are expected to grow further on the commencement of delivery of LCA Mark-1A and HTT-40 during the current year.

During the year, we also achieved export revenue of INR501 crores as against INR400 crores of the previous year.

The profitability remained robust during the year. Our EBITDA grew by 11% to reach INR13,472 crores as against INR12,168 crores of the previous year. Operating EBITDA was at 30% of the revenue and was maintained at the levels of the previous year. We reported a profit

before tax of INR12,112 crores as against INR10,820 crores reported in the previous year. This is an increase of 12%.

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Coming to capex and R&D expenditure, we are continuously investing in our future through investment in building capabilities in the form of capex and in our future capabilities through R&D expenditure. During the year, we have crossed INR2,386 crores as capex and INR2,794 crores in R&D activities, which is around 8.4% of our revenue.

Considering the major orders in-hand, envisaging new orders, and to ensure timely delivery to the customers, production capacity ramped up for the following major projects, namely LCA and HTT-40 manufacturing at Bangalore and Nashik plants. LCH manufacturing at Bengaluru and Tumkuru plants will be the focus areas going forward.

Additionally, we plan to develop manufacturing infrastructure for LCA Mark-II, GE 414 engines, and IMRH engines, infrastructure facilities for manufacturing SSLV, indigenization of aero engine projects, etc., along with facilities to support design and development activities for IMRH and other projects. We plan to invest around INR12,000 crores in these projects by 2030. During the year, HAL has filed 223 IPR applications, which made the cumulative number of 2,842 IPRs filed by the company. Further 84 IPRs have been granted during the year, taking cumulative IPRs held by organization to 1,226.

Coming to order book. The order book of the company further improved to INR2,54,538 crores against the previous year order book position of INR1,89,302 crores as on 1st April 2025, and after the liquidation of the current year turnover of INR31,792 crores.

During the year, the fresh orders received by the company were INR97,028 crores, which includes the manufacturing orders of INR69,668 crores and ROH orders of INR26,539 crores. Major orders bagged include contracts for the supply of 97 LCA Mark-1A to IAF, quantity 6 ALH Mark III MR to ICG, quantity 8 Do-228 to ICG, quantity 10 ALH Dhruv NG to Pawan Hans, quantity 2 Hindustan-228 to Guyana.

The order pipeline looks even more promising with additional anticipated contracts of 143 ALH for the Army, IAF Su-30 upgrade, upgrade of 40 Do-228, etc., are at various stages of approval. In total, we expect to receive orders of INR90,000 crores, including the ROH orders, during the next 2 years.

I would like to conclude and say that these results represent not just numbers on

the balance

sheet, but the culmination of dedicated efforts by our 24,000-plus employees, the trust of our armed forces, and the collective aspirations of a nation-building self-reliance in aerospace and defense. While this past year has presented significant challenges, it has also demonstrated HAL's resilience and our unwavering commitment to national security. Thank you and Jai Hind.

Management: You can now start the question-and-answer session.

Moderator: First question is from the line of Atul Tiwari from JPMorgan.

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Atul Tiwari: Sir, what is the status of the start of delivery of LCA Mark-1A to the Air Force? When can we expect the Air Force to accept the first lot? That is the first question. And what is the revenue growth and EBITDA margin guidance for FY '27?

Ravi Kota: Thank you, Mr. Atul. This is CMD here. See, as you are aware, that we have 6 engines received from GE now, and all these aircraft are flying. There are few tests still undergoing now, and we are going to discuss the same with the Air Force in the coming months. So we are hoping to resolve everything and stabilize by August or September. And I'll just hand over to the Director Finance to give the guidance.

Barenia Senapati: As far as revenue growth is concerned, we are hopeful that we'll be maintaining a double-digit growth in the current financial year '26-'27. And the EBITDA margin, we have always maintained around 30%, 31%, and it will be maintained.

Atul Tiwari: Okay, sir. And sir, because these timelines of LCA delivery have gotten stretched multiple times. And is there a risk that the delivery schedule spills well beyond August and possibly only in the very far end of FY '27?

Ravi Kota: No. This time, because GE has committed more engines this year. So with that, we are hopeful now that by August or September, we should be able to start the delivery.

Atul Tiwari: But, sir, the delay in the delivery of the first 6 aircraft appears to be beyond the engine because those aircraft are ready. And based on media reports, and we don't know the reality, it looks like there is some software issue, etc. So could you throw some light on what is holding it up? And

how big is the issue? And what are you doing to resolve those issues? I'm asking because, in the market, it is causing a fair bit of anxiety among the investor base, and there are question marks about whether any aircraft can be delivered even in FY '27.

Ravi Kota: See, the testing, whatever has been done, is only for refining whatever has already been tested. So this is a continuous process. So since there are more technicalities involved in that, I will restrict myself to saying that we are moving in a very positive direction, and we are hopeful that by August or September, we should be able to start the deliveries.

Moderator: The next question is from the line of Amit Dixit from Goldman Sachs. As there is no response from the line, we'll move to the next question, which is from the line of Umesh Raut from Nomura.

Umesh Raut: Congrats for strong operational performance in fourth quarter. Sir, my first question is again on LCA program. If you can articulate to us in a better way what went wrong in terms of execution delays apart from engine supplies from GE? And what exactly is left in terms of testing where we can get confident of deliveries by the second quarter end this financial year?

Ravi Kota: Thank you very much. Again, as I told to Mr. Atul, see, these refinements, whatever, because I cannot get into the details of it, so these refinements, we need to meet certain parameters. So Hindustan Aeronautics Limited

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these requirements are -- because these are all design and development projects, they have to go through iteration

ns. So we are going through the iterations of that. And we will be -- we are confident, because now it is going in the right direction. The results are very promising. But still, some refinements are required, so HAL is working on that. We are confident that we will be able to meet the September deadline.

Umesh Raut: Got it, sir. Sir, if I understand correctly, we are doing a lot of these platforms after design and development for the first time in terms of execution, and indigenization, as per se, for us, in terms of scope, has also increased. So what are our action plans in terms of mitigating these execution risks in terms of other programs, whether those are in terms of, say, HTT-40 or LCH on the helicopter side? So what are our plans in terms of mitigating these execution risks? And at the same time, if you can guide us in terms of execution timelines for other larger programs, like LCH and Sukhoi 12 Mark-1A aircraft?

Ravi Kota: So you please -- one thing is, see, the other programs -- first of all, whatever risk mitigation, what you are telling, what we are trying to do is we are trying to identify more than one vendor for the supply of items, whether it is indigenous or from a foreign source, so that we have an alternate available for us. That is one thing.

As far as Su-30 or the HTT-40 is concerned, all the purchases or orders required are already placed with the vendors. So now we are in the receipt of these items, even though it is slow because of the geopolitical situation. We will still be able to maintain the deliveries of the other platform, as you mentioned, in time because all the structures, everything, we are going ahead as per plan.

Barenia Senapati: To supplement CMD, there is a little bit of a difference between LCA and LCH. LCH is our own design product. HTT-40 is our own design product. And LCA, it's a joint production between ADA and HAL. So we are confident this helicopter, LCH, and HTT-40, is on the right track. And as per the contract, it will be delivered. LCH, hopefully, as per contract '27-'28, and we'll be able to deliver in time.

Umesh Raut: Got it, sir. Sir, my second question is pertaining to supply chain risk that we have in the business, where if I look at beyond probably engine supply from GE, in case of other programs, are you seeing any kind of supply disruption, whether it is for radars or engines for that matter in programs like Sukhoi, LCH helicopters, HTT-40 aircraft, any kind of supply chain risk over there where vendors are delaying any major components to you?

Ravi Kota: Yes. See, if you see now the current global situation, whatever is there, I will not say disruption, but slowness is there. There is a slowness. But when we have discussions with them, and now we have started discussing with their Tier 1, Tier 2 vendors also, we are getting confident that we should be able to get the items. There may be minor delays, but we are confident that we will be getting within the time required for me to complete the platform and delivery. Because the current situation is like that, so some delay is expected from a few places.

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Umesh Raut: Got it, sir. Sir, my last question is on the guidance side. If I look at your guidance for revenue growth of double-digit, can you quantify this growth relatively in a better way, where exactly this growth is expected to come from? How much increase over and above INR92 billion, INR93

billion that we reported on the manufacturing side, we can expect in '27?

Barenya Senapati: See, when I said double digit -- see current year, if you see it is around 7% growth. So double-digit means you cannot expect a significant increase like 15% to 20%. Yes, it will be in the range of 10% to 12% minimum.

Umesh Raut: Got it. But particularly in the case of manufacturing, where we have seen about 30% year-on-year growth -- yes.

Barenya Senapati: Manufacturing 30%, if you see, if hopefully, our LCA program and HTT-40, if we are able to deliver, manufacturing sales will play a dominant role.

Moderator: The next question is from the line of Saif Sohrab Gujar from ICICI Prudential Asset Management.

Saif Sohrab: If you can highlight the upcoming programs like Tejas Mark II, when do you expect the ground testing and prototype rollout of, say, the Mark II program? And also on the other future programs like the UCAVs, any update on that expected over the next 1 year?

Ravi Kota: Sorry, what is the second program you talked about?

Saif Sohrab: Unmanned aircraft and all those. Other programs beyond that, right? Maybe first on the Tejas Mark II, when do you expect the prototype rollout?

Ravi Kota: Yes. The assembly of these structures is going on for Tejas Mark II. So we are expecting in the last quarter of this year, for the rollout of Mark II. Again, these are all joint designs between us and ADA. So there are a few things that have to be resolved by them also. So we are expecting that by March, we should be able to roll out Mark II.

But other than that, as you said, we are doing a rotary UAV, which is -- the prototype is already built, and we are doing the ground test now. And the CATS Warrior, which we did the ground run last year, it was successful. Now we are actually building the actual UAV now. That we are expecting next year, not this year. maybe it will have a flight.

Saif Sohrab: Sure. And sir, the second question is on the Mark-1A platform. In our guidance, how many Mark-1A have we considered?

Ravi Kota: Actually, what is happening now, this time, we have received 6 engines. So GE is committing another 20 engines -- 15 to 20, he is telling, but not the exact number. So we are expecting around 20.

Moderator: The next question is from the line of Mohit Pandey from Citigroup.

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Mohit Pandey: Sir, first question is on the ROH revenue. The growth seems to have come off compared to what we used to guide earlier. So any colour there, sir? That would be question number one.

Barenya Senapati: No. If you see, spares sales have actually come down by around INR500 crores to INR600 crores in the current financial year compared to the last financial year. But the repair and overhaul are almost at the same level because we have not added any new platform to our repair and overhaul activities.

It's all the same platforms like ALH and -- maybe when the LCA will come up for repair and overhaul, maybe next year, and more of LCH, if it comes, then only it will be a significant increase in repair and overhaul we may have in the next financial year. Otherwise, if you see platforms are the same and then at the same level only, except for the escalation part, and other things which might be there.

Mohit Pandey: Understood, sir. Sir, secondly, on margins, so your guidance of 30%, 31% margins, sir, with manufacturing share increasing and with some supply chain disruptions that you highlighted, input costs going up, so how do you plan to deliver similar margins, sir, 30%, 31%? Is there a cost pass-through process with regard to commodities in your contracts with the end users?

Ravi Kota: No. But the disruption -- whatever -- or the delay -- or what I told you at the beginning -- is that this purchase order is already placed.

Barenya Senapati: See for '26-'27, already we have the inventory.

Ravi Kota: Yes, we have.

Barenya Senapati: The inventories are there, and only some components may come, for which the purchase order has already been placed 1 year back or 2 years back. So there will not be any cost increase as such for '26-'27. I don't think -- there will not be any increase. And as the purchase orders have been placed for 83 LCA long back, our inventories have been purchased, and we have built up the inventory. So we'll get that a

dvantage. And then we have negotiations and all those things.

Ravi Kota: And if you see, we have already produced the aircraft, like -- you have seen, around almost -- more than 20-plus aircraft are already produced, for example, LCA is produced, which means all the items are fitted, and its engine ground run has also happened.

Barenya Senapati: And as far as the ERV exchange rate, this is already mitigated. It is factored into the contract.

So we are not affected. So our cost of production will not increase.

Mohit Pandey: Understood, sir. Sir, and from, say, next year perspective, when the older inventory gets used up, so just to understand, are there similar to the exchange rate variation clauses, also commodity-linked cost pass-through?

Barenya Senapati: ERV clause is there in each and every contract, and even in the repair and overhaul contracts. Hindustan Aeronautics Limited
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Mohit Pandey: That is clear, sir. But yes, on the commodity and other input costs also, are there pass-throughs available?

Barenya Senapati: Other input costs mean only the material. Labor and all those things, this escalation is already factored. And material escalation is already factored into the contract itself. So I don't think -- based on our negotiation and the clubbing of the material and then LTBA and all those things, we don't see any significant increase in the material cost also in our future program because 97 LCA, already we have placed purchase orders.

Mohit Pandey: Yes, yes. Understood, sir. Very clear on that. Sir, one more question. So now that the next 2 years we'll be working on 5, 6 programs in parallel, with LCH P rachand also coming up for delivery and Su-30, so how are we -- while we have mentioned about capex and all, with regards to manpower and other resources, how are we placed? What could be the peak aircraft and helicopter delivery that we could do, say, in '28 or '29? Any color on that? Because we understand there is increasing private sector competition also for manpower and all.

Ravi Kota: See, all the deliveries for the next year will be as per the contract. You touched upon the manpower and other things, if you see, now we have -- we are trying to increase our efficiency inside. And we are trying to outsource because we have partnered with so many people outside to do the main -- full structures so that I will be the core integrator. And we are trying to in-source as much as possible so that my manpower cost remains as low as possible. So I can use in-sourcing and outsourcing so that I get better efficiency and better costing for the product.

Barenya Senapati: And still, we are open. It will be a balancing thing. '28, '29, we are talking about 2 to 3 years down the line, but we have not closed our recruitment process also. It will be a balancing one, more of outsourcing, in-sourcing, and some recruitment will also be there in due course.

Mohit Pandey: Understood, sir. And for all your manufacturing -- just one clarification, all the manufacturing projects, revenue recognition is only at the time of delivery, right? It is not on percent of completion method.

Management: No, no. It's against delivery.

Mohit Pandey: It's at delivery. So we will have possibly a lumpy year 2 years down the line? Okay, sir. And yes, yes. And sir, just one follow-up to the previous participant. We have read about press reports about the GE F414 engine, right? So the Mk2 prototype you mentioned by next year and the order -- by when it could come, sir, any sense on that?

Ravi Kota: That will be by the end of maybe next year because it has to fly, and then finally, the Air Force will start pushing the paper. So we are expecting by the end of maybe another 2 years, down the line, we can expect the order.

Moderator: The next question is from the line of Kavish Parekh from 360 ONE Capital.

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Kavish Parekh: On the Sukhoi program, I have 2 questions. First, on the 12 Sukhoi-30 aircraft order, what is the expected execution timeline? And when are deliveries likely to commence? And how many aircraft should we expect to be delivered annually over the next 3 years?

Ravi Kota: Okay. The Su-30 MKI, as per contract, starts from '27, '28, that is, in that year, there is only 1 aircraft due as per contract. And next year, we are going to complete all 11 in 28-29.

Kavish Parekh: So 11 units in FY '29?

Ravi Kota: Yes. That is -- will complete.

Kavish Parekh: And second, on the Sukhoi-30 upgrade program, what is the likely timeline for contract signing and subsequent execution of the same? How should we think about annual revenue recognition from this program once execution begins? And what would be the margin profile for the Sukhoi-30 upgrade revenue? Will it be closer to manufacturing margins or ROH margins?

Barenya Senapati: No, it's the Su-30 upgradation design program now. The design program will go on up to maybe 5 to 6 years. And so we are expecting the CCS approval for the current financial year. So the design will take probably 5 to 6 years. Then only the upgrade program will start, production will start after 5 to 6 years.

Moderator: The next question is from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: Good afternoon. My sincere regards and congratulations to Mr. Ravi for shouldering this huge responsibility for the nation in heading HAL. My first question is, the 10% to 12% revenue growth numerically in the second half of the year, how many LCAs are you sort of factoring in terms of dispatch?

Because it appears to be a single-digit number, given the value per LCA. So -- and when I look at the inventory plus contract assets, that's almost INR490 billion. So what percentage of your inventory unbilled revenue is for the LCA program now? So maybe if you could address these 2 points as the first question.

Ravi Kota: As I initially explained, also since we are getting around 20 engines. We are planning to deliver around 20 LCA. I'm not telling that it may happen in this quarter, next quarter, or the last quarter. But this financial year, we are planning to deliver this many aircraft. That's 20, this year, we are planning to deliver. As regards the -- what is the second question? Which is the other part of the financial...

Management: So, inventory for LCA is around INR7,500 crores. And if you look at the unbilled revenue, unbilled revenue is against the delivery that has already happened. It's not against the inventory. Whatever we have delivered because of the documentation and all those things, the non-receipt of documentation we could not bill it. So that has nothing to do with non-delivery of LCA. For Hindustan Aeronautics Limited
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non-delivery of LCA, our inventory is around INR8,100 crores, if you include raw material and WIP.

Moderator: The next question is from the line of Shirom Kapur from Jefferies.

Shirom Kapur: I'm going to start with a bookkeeping question. If you could quantify what was your export and development orders and sales for FY '26?

Management: The export order right now, the export order book is around INR 400 crores, and the development order book is around INR3,000 crores.

Shirom Kapur: Okay. Got it, sir. And secondly, I just want to understand this pipeline that you mentioned of INR900 billion orders over the next 2 years, including ROH. So if we keep ROH of about INR200 billion -- INR20,000 crores a year on the side, that is about INR50,000 crores. You mentioned 143 ALH and 40 Dornier aircraft.

Could you quantify what -- how much these programs are worth and what other programs are in the pipeline beyond these, such as the UH-M aircraft and any other, LUH -- 12 LUH Limited Series Production that was pending. So what are the tim

elines, quantities, and values of those?

Ravi Kota: Since these contracts are not yet 100% finalized, that's why I did not give detailed numbers for each contract because it takes time. But a ballpark figure, I have just explain what are the numbers the services are expecting. And we have started discussing with them, with these numbers, with these -- top-level cost with them. But however, it is not finalized. That's why we have not given any numbers.

Management: The major contributor will be the ALH 137 program. And as usual, your ROH program will be at the same level.

Moderator: The next question is from the line of Harshit from Elara Capital.

Harshit: Congrats on decent results, and the CMD is the first to have this role. Just a few questions. One is that there was news that there will be a penalty on GE for the delayed engines. So would that be from you, or would that be from the Ministry of Defense? And if that is true, how do you recognize that? Any quantum that you can share?

Ravi Kota: No, these are all commercial activities as per the purchase order with GE, whatever is there. But we are talking about only the penalty. There are so many terms and conditions, which is available in the contract. It's on there. So it's -- as for the procedure, we apply not only to GEs, these are applicable to all the purchase orders we placed with the vendors.

Harshit: Okay. But any amount that you can suggest? What could be...

Ravi Kota: It's in the contract, so that's why we don't want to give any..

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Management: It depends. And delivery will happen when the payment is made. At that time, we'll see what it will look like. It's not the right time to say what the penalties will be -- we cannot quantify them right now. Let the delivery happen, then we'll see.

Harshit: Okay. And sir, lastly, just wanted to check on the AMCA program. I know you are not part of it, but is there a possibility during the production time that HAL could be involved? And secondly, is there a possibility of you getting orders for the SU-57?

Ravi Kota: First, let me answer about AMCA. This, we have made clear last time also because the current tender, whatever the tender that is going to come is, is that RFI, which was placed, is for the D&D program only, that is to build prototypes. And they have not indicated that the same person will do production. So we are hopeful that we will participate in that. And as far as SU-57 is concerned, it's the government's call, so we cannot comment on that right now.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel: My question is on the ALH. Have we completed the execution and delivery of all the legacy contracts, including the army contract for 24 members? And what will be our execution schedule for the contract of the 143 ALH that you were mentioning that we will receive in the next couple of years?

Ravi Kota: Yes, the deliveries of ALH, we have no issues. We have delivered everything as per contract. And as far as the new one is concerned, now we have augmented the facility in the current helicopter division. And outside, private vendors are also helping us in making the structure. So we are confident that ALH, because it is our program in a sense, designed by HAL, we will be ahead of schedule.

Harshit Patel: And just a clarification of the HTT-40 program. I wanted to check on any supply chain issues with the production, especially with the Honeywell engines. Also, if you can share the execution strategy, that will be helpful. Did you mention we will start in FY '27 or FY '28 for delivery?

Management: FY'27.

Harshit Patel: And how much units we are planning for FY '27? And I think we should be able to complete this by FY '30. Is that the right understanding?

Ravi Kota: Yes, You are right. See, as I said, the supply chain of Honeywell engines, it was there a few

months back. Then we have continuous review, and now it is stabilized. So the engines will start going to come from next month. And we are planning around 20 plus this year to deliver. And every year, it continues because now we have 2 lines, one in Bangalore, another one in Nashik. So we should be able to ramp up faster and deliver.

Harshit Patel: Can I ask one more question, if that's okay?

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Ravi Kota: Yes, please go ahead.

Harshit Patel: Yes. Sir, what is the status of Uttam Radar integration? By when we will start producing Mk1A? Is the Uttam integrated on them? I believe the earlier plan was to start from the 41st unit. Is that still intact?

Ravi Kota: No. Because this is controlled by the DRDO. So we are only a production agency. Once they give the production clearance, we will go to the DCPD partner and we'll buy it. So as of now, it is not coming in the 83 program. So in the 97 program, we are planning to integrate this.

Moderator: The next question is from the line of Chaitanya Iyer from Goldman Sachs.

Chaitanya Iyer: So I wanted to ask, provisioning as a percentage of revenue was on the lower end this year. Can you please elaborate on that? And what would be the stable state guidance that we can consider for the same?

Management: The provision is based on the happening of an event. See, last time, the provision we made because the 1 SU-30 aircraft got into an accident. So, for the replacement purpose, we made a provision of INR800 crores. And that situation is not there, in the current year. So it's not comparable. Provision is based on any happening or not happening. So for that reason, last year, that INR800 crores was there, and that INR800 crores is not there in the current year. So there cannot be any guidance percentage of revenue and in provision.

Chaitanya Iyer: Understood, sir. And sorry if I missed this, but could you give the exact numbers for the manufacturing ROH development and exports for all 4 of these?

Management: Manufacturing for the current year, if you see, manufacturing is around 28%, and then we pair an overhaul 62%, and other 10%.

Moderator: The next question is from the line of Neelotpal Sahu from JM Financial.

Neelotpal Sahu: Just one clarification. Can you help quantify the manufacturing share of revenue for the INR48,000 crores of 83 LCA Tejas Mk1 aircraft. That would be the first question.

Management: Can you repeat? It was not clear.

Neelotpal Sahu: So INR48,000 crores, I assume, includes some ROH component and some of the payments to ADA as well. So, can you help us understand what would be the share of purely the manufacturing part of revenue that would accrue to us?

Management: INR48,000 crores? Where did you get that number? INR48,000 crores? It is our order book position you are...

Neelotpal Sahu: Yes. The complete order is INR48,000 crores. What is the, like manufacturing...

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Management: The complete order is on HAL. So the entire contract is with HAL, and whatever supply will be made by HAL, the entire thing will be revenue for HAL.

Moderator: The next question is from the line of Sanjeev Zarbade from Anti que Stock Broking.

Sanjeev Zarbade: Sir, there were -- Ravi mentioned that in the future, the growth of manufacturing revenue would be faster than ROH, and it could be -- probably impact margins going ahead that you are guiding for 30% to 31% EBITDA margin. So, how should we read into this?

Management: Yes, manufacturing, see, your repair and overhaul also, what we said that -- see, now current year, if you see our revenue growth is around 7%. And as we grow, manufacturing sales will grow. Then definitely, the composition, what is there right now, i

s around 28% to 30% to 70%.

So it will be in the range of 50% to 50%. 50-50. So there is no reduction in the repair and overhaul sales, Repair and overhaul sales will also grow by the addition of the new platforms and all those things.

And the manufacturing as well, manufacturing sales will grow. The composition only, it will be now 30-70, it will be in the range of 50-50. And your revenue growth would be there as well.

So that, we don't feel -- and there will not be any stress on the profitability from the manufacturing contract. Though revenue there -- I mean, the profitability on repair and overhaul, a little bit higher than manufacturing.

But repair and overhaul, growth will be there as well as manufacturing there, we don't see any stress on the manufacturing sales also in terms of profitability. And that 30% will be maintained.

Moderator: The next question is from the line of Dipen Vakil from PhillipCapital.

Dipen Vakil: Congratulations on the great margins. Sir, first question is, I want to understand your order book position with respect to the projects that are currently under execution. Like, what is the pending order book for engines and -- so ALH helicopters? So, can you help us with the amount breakup for the order book currently executed?

Ravi Kota: Currently, as you see, LCA is one of them. And we have 12 Su-30s, we are doing. AL-31FP engine, we are doing Dornier-228. 21 ALH we're doing. LCH, HTT-40 and RD-33 we are doing. These are the major platforms that are already going on, which I mentioned in my opening statement, where around INR2.84 lakh crores orders are there.

Moderator: The next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: So, my question again on LCA. So you did highlight that I think there's a final leg of iteration, and probably 6 by September, we can deliver. So I think so far in April and May, we may not have received the engine. So, what is the understanding now? Are we still targeting to get at least 2 engines per month from probably next month till March?

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Ravi Kota: No, Mr. Amit, again, thanks for your question. June, we are expecting 1 engine now. Then afterwards, it is going to August. From August, they have committed 2. And then by end of this year around 15 to 20, yes, so because 15 is telling, yes, I would give, but a balanced one, you may get more which is still not committing. So that's why I told 20 LCA we will deliver this year.

Amit Anwani: So at least 15 additional, the -- and that will be largely starting from August to March?

Ravi Kota: August. Yes, exactly.

Amit Anwani: So that deliveries will slip to the next financial year. Is it correct? So, how much time does it take for the engine to be received after you start delivering till the final delivery happens to the IAF? So, how much time will it take?

Ravi Kota: Around 30 to 45 days.

Amit Anwani: 30 to 45 days, understood. Sir, what is the core reason that last financial year, also, I think you guys received a commitment of at least 2 engines per month, but nothing of that sort materialized. So is it the issue at the GE in terms of supplies? Or -- so what is the core issue that so much of the variability is happening in terms of delivery from GE, despite now things have been okay versus the COVID time? So what is the core issue at their end?

Ravi Kota: Yes. The supply chain issue is global. It has not spared anybody. Even the big players like GE or Honeywell, everybody is impacted by the supply chain. And they have also gone through that cycle. There were some casting issues that they had because we, as I explained earlier, went to the Tier 2, Tier 3 suppliers to also understand the real issue. And they had a real supply chain issue. So it is, again, supply chain. As I told you, disruption is with GE also. Now they have found an alternative for that. S

o that's why he is committing the numbers that I explained to you also.

Amit Anwani: Understood, sir. Sir, finally, you mentioned the ongoing projects. Just wanted to understand in terms of numbers, how much, for example, the engines RD and AL FP, how many numbers you're targeting for deliveries across different platforms that would help?

Management: Our target is around 32, 35 engines per annum of AL-31 FP. And RD-33, only 15 engines are left, and those 15 will be delivered in the current financial year, '26, '27.

Amit Anwani: Right. So what's the target for HTT, ALH?

Management: ALH, Army, the 10 numbers are left out, and then we are going to deliver those 10.

Ravi Kota: There are the other 5, and Pawan Hans is 8. These are our targets. They're all on track, and we'll be able to do that.

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Amit Anwani: And LCA, you said, probably we are targeting 15 to 20 deliveries this financial year? That's right?

Management: You are right.

Moderator: The next question is from the line of Shreya Agarwal from Asian Market Securities.

Mayur Milak: This is Mayur Milak. So first thing, you've added about INR9,000-odd crores into your inventory this year. And you said bulk of that is the LCA inventory that you've carried. So this is all the bodies that you had made, the airframes and the engines received, all of that is sitting in inventory, is it?

Management: Yes, yes. That is a WIP, what we have made up. We don't have only LCA. Many programs are going on. And the inventory is for repair, if you see, out of INR33,000 crores, INR20,000 crores is towards repair and overhaul and spares.

And so we built up inventory for repair and overhaul also, spare supply, then we have Su-30, AL-31FP engines, RD-33 engines, then LCH, to some extent, ALH. So this inventory is for all now those platforms, HTT-40. LCA is part of it. And as I said, out of 30,000 LCA is around INR8,000 crores.

Mayur Milak: Sure, sure. So the second thing, we've had capacities of 24 LCAs, and assuming that these deliveries begin as and when in this fiscal. Would it be fair to assume that we should start having a better operating efficiency and some recovery in margins because of that as well, since most of that facility would be lying idle as of now?

Ravi Kota: No. Why? They are not idle because you see production is happening. We have 3 lines now, 2 in Bangalore and 1 in Nashik. Not a single production line is idle because we are continuously building the structures and equipping them. Everything is being done. It's not that these facilities are idle. That is why we were able to do what we showed at the end of March, 21-22 structures ready.

Those structures are fully built and engine ground run completed, which means all the systems are working fine. So there's nothing called idle capacity as of now. And we have 97 orders coming. So all these facilities will be 100% utilized throughout the year.

Mayur Milak: Okay. And sir, just since you've been mentioning it time and again, that there is an ongoing process of checking and the facilities on the LCA, and approvals are expected once we complete most of these parameters. I'm just trying to understand, let's say, as and when the first round of deliveries happens, does that mean that all our dedicated numbers will have the same software, or will there still be upgrades coming in on the pending volume that needs to be delivered to the armed forces?

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Ravi Kota: No. Because once the certification happens, all aircraft will be with the same software. Minor modifications will be there. There's always continuous improvement. But that will not be like a huge jump. Minor updates will be there because once we fly, a few improvements will be required. So that we will take on if we—and most of the time...

Mayur Milak: Okay. And so that is

why you're saying that once those deliveries happen, we should expect better returns on the spare part use and the ROH income. So will all of those changes be part of the service income?

Ravi Kota: LCA will not be immediate because these deliveries are happening now. These ROHs will come after some time.

Management: There are already 38 LCAs we have delivered from earlier contracts. Those things will come now. And then with the ALH continuously, we are supplying 20 to 25 every year. So those things will come. So there is an addition in the repair and overall quantity. And these LCAs what will

be delivering, right, the current financial year, maybe like the 3 years, we will come for ROH...

Management: ROH cycle will start.

Management: ROH.

Moderator: The next question is from the line of Sagar Dhawan from Valuequest.

Sagar Dhawan: Sir, just wanted to understand on the ROH side. Typically, in the LCA, like you said, you delivered 38. In the INR100 of the value of the equipment, what is the relative ROH portion in that? I mean, if INR100 is the equipment, then anchor a thumb rule that this would be the ROH component in terms of value?

Management: ROH, see, repair, and overhaul has nothing to do with the sale of the equipment. After that, it depends on the -- what type of repair, the repair or it's a full overhaul. If it's a full overhaul, we have a separate kind of pricing mechanism, 10 to 15 will be on a cost-plus basis. So it will come for the overhauling, and whatever will be the cost -- actual cost in terms of component, material, labor.

So the selling price will be decided on that basis. And based on the samples, the overhauling cost will be fixed. Okay. So as I say, in the procedure, repair, and overhaul procedure. We call it the PPRC, the pricing policy review mechanism. So it will be done in that way. So there is no fixed percentage that ROH will be a fixed percentage of the equipment cost.

Sagar Dhawan: Got it. And sir, one more clarification. When you receive an order for a new aircraft, let's say, a Tejas LCA order you received a couple of years back, 97 plus 83, did the order inflow include the ROH portion in that, or is that order only for the equipment?

Ravi Kota: It's only for production.

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Management: It's only for the delivery of the quantity along with the...

Management: That will be a separate order later.

Moderator: The next question is from the line of Shubham Dalia from Nirmal Bang Institutional Equities.

Shubham Dalia: Congratulations on a great set of numbers. Sir, my question is on the number of deliveries that we are expecting and the guidance that is there, because we are expecting around 20 plus HTT-40, then we are also expecting LCA to go, then the guidance of 10% to 12%. So are we seeing some risk in any of these programs? That's my first question.

Management: When we tell 10% to 12%, then hopefully, we have taken all these things into account while we conclude our revenue target for the current financial year. So hopefully, we expect that whatever we have told right now, we will be delivering. And we have our ways and means to see that if something goes wrong.

And we will always have our plan B in the year that we cannot tell you right now. But we are confident that LCA and HTT-40 will be delivered, and whatever guidance we are giving, 10% to 12%, we'll be able to maintain it.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments.

Ravi Kota: This is Ravi here, CMD, again. I just want to thank each one of you for taking the time and asking us questions. And we, at HAL, are continuously working towards meeting these targets, as we said. Once again, thank you to each one of you for participating in this call. Thank you very much.

Moderator: Thank you. On behalf of Ambit

Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Ravi Kota: Thank you.